BUSINESS & ENTREPRENEURSHIP (INDIA)

Starting a Business in India

Entity choice, SPICe+ incorporation, LLP and proprietorship routes, Udyam and DPIIT recognition, state incentives, FDI and flipping, realistic budgets and a week-by-week setup plan for Indian founders.

india · startup · incorporation · private-limited · llp · sole-proprietorship · mca · spice-plus · udyam · msme · dpiit · startup-india · registered-office · fdi · entity-selection · compliance

Study Pack · Comprehensive reference & interview prep · ~125 min read · 27,569 words

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How to Use This Guide

This is an operational manual for a software engineer in India who is about to stop being only an employee. It walks the entire path from "I have a side project and one paying customer" to "I have a registered entity, a bank account, a GST number and a compliance calendar" — naming every form, every portal, every document, every fee and every realistic failure mode along the way. It is written for the tech/consulting/product case specifically: a solo consultant billing a US client, two engineers bootstrapping a SaaS, or a team raising a seed round.

❌ **This is educational material, not legal or tax advice**
Indian company law, tax law and labour law are statutory, fact-specific and change with every Union Budget and every notification. Nothing here is advice on your facts. Before you incorporate, sign anything, claim a deduction, or choose a tax regime, engage a qualified Chartered Accountant (CA), Company Secretary (CS) or advocate and have them confirm the current position for your situation. Every rate, threshold, fee, form number and due date in this guide is stated as at **FY 2025-26 / early 2026** and **must be re-verified** against the official portal before you act on it.

⚠ **Four large changes are in flight right now — verify current status**
(1) Income-tax Act, 2025 is scheduled to replace the Income-tax Act, 1961 with effect from 1 April 2026, introducing a unified **"tax year"** concept in place of "previous year"/"assessment year". Section numbers in this guide follow the 1961 Act; map them before relying on them. **(2) GST rate rationalisation of September 2025** moved the structure to principally **5% and 18%** slabs with a **40% demerit rate**. Confirm the rate for your exact HSN/SAC. **(3) The four Labour Codes** (Code on Wages 2019; Industrial Relations Code 2020; Code on Social Security 2020; Occupational Safety, Health and Working Conditions Code 2020) were brought into force from late 2025, but **state rules are still landing** — your obligations depend on your state. **(4) The DPDP Act 2023 Rules** were notified in late 2025 with **phased compliance deadlines**. If you touch personal data, confirm which phase binds you. Treat all four as "verify current status before acting".

Official sources — bookmark these, trust nothing else

Portal	What it is authoritative for	You will use it for
mca.gov.in	Ministry of Corporate Affairs — Companies Act 2013, LLP Act 2008	Name reservation, SPICe+, FiLLiP, annual filings, DIN, director KYC, strike-off
incometax.gov.in	Income Tax Department / CBDT	PAN, TAN, ITR filing, advance tax, Form 26AS/AIS, e-proceedings
gst.gov.in	GSTN — the Goods and Services Tax common portal	GST registration (REG-01), GSTR-1/3B, LUT, refunds, e-way bill linkage
udyamregistration.gov.in	Ministry of MSME — Udyam registration	Free MSME registration certificate
startupindia.gov.in	DPIIT Startup India	DPIIT recognition, 80-IAC application, SISFS, schemes directory
dpiit.gov.in	Dept. for Promotion of Industry and Internal Trade	FDI policy, Press Notes (including Press Note 3), startup notifications
epfindia.gov.in	Employees' Provident Fund Organisation	EPF registration, ECR filing, UAN, employer portal
esic.gov.in	Employees' State Insurance Corporation	ESIC registration, monthly contributions, IP numbers
dgft.gov.in	Directorate General of Foreign Trade	Import-Export Code (IEC), export schemes
ipindia.gov.in	Controller General of Patents, Designs & Trade Marks	Trademark search and filing (TM-A), patents, copyright linkage
rbi.org.in / FIRMS portal	Reserve Bank of India	FDI reporting (FC-GPR), ODI, FEMA master directions

A note on intermediaries

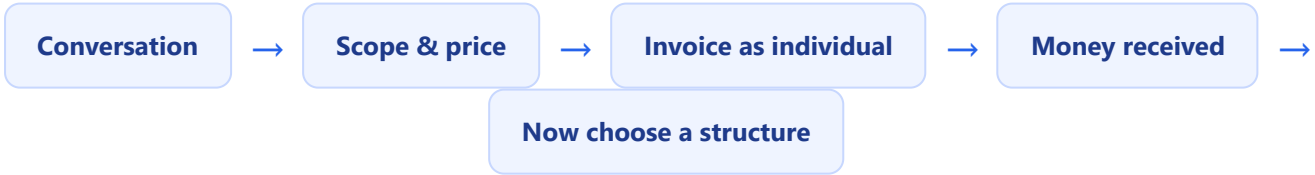
Dozens of private websites sell "company registration in 7 days from ₹999". They are agents. They file the same forms on the same government portals you can access yourself, and the government fee and stamp duty are the same regardless. What you pay them for is the professional digital signature of a CA/CS/CMA (which SPICe+ legally requires) and for not making mistakes. That is a legitimate service — just know that the advertised ₹999 is almost never the total, and the **only** official filing portal is mca.gov.in.

Before You Incorporate — Do You Even Need an Entity Yet?

The single most expensive early mistake an Indian engineer makes is incorporating a Private Limited Company before there is a customer. A company is not a trophy; it is a recurring liability of roughly ₹25,000–₹60,000 (₹25,000–₹60,000) a year in professional fees and filings, enforced by penalties that accrue at ₹100 per day per form with no upper cap, and backed by director disqualification under Section 164 of the Companies Act, 2013. Earn first, then structure.

The "first customer first" principle

You do not need a registered entity to find out whether anyone will pay you. You need a conversation, a scope, a price and an invoice. In India, an individual can lawfully provide professional and technical services, raise an invoice, receive payment into a personal savings or current account, and pay tax on that income as "Profits and gains of business or profession" under the Income-tax Act, 1961 — without registering anything. The business comes into existence the moment you start carrying it on. Registration is what you do when a specific statute compels it, or when a specific commercial benefit justifies it.



What you can legally do without registering anything

Activity	Allowed unregistered?	Notes
Provide software development / consulting services	Yes	You are a sole proprietor by default from the first rupee of business income
Raise an invoice in your own name	Yes	No GSTIN needed if below threshold and not caught by Section 24 CGST Act
Use a trade name on the invoice ("Acme Labs")	Qualified	Permitted, but you own no exclusive rights without a trademark; banks will want proof before opening a current account in that name
Receive payment into a personal savings account	Qualified	Legally fine, operationally bad — banks flag high-volume business credits in savings accounts; open a separate account early
Receive foreign currency from an overseas client	Qualified	Permitted under FEMA for service exports; you need a bank that will issue **FIRC/e-BRC**; most banks require a current account and often a GSTIN/IEC for cleanliness
Hire a contractor / freelancer	Yes	But TDS obligations under Section 194C/194J can apply to you as an individual once Section 44AB audit applied to you in the preceding year
Hire a salaried employee	Qualified	Possible, but triggers Shops & Establishment registration, professional tax, and eventually EPF/ESIC; messy as a proprietor
Raise external equity investment	No	Only a company (or an LLP, awkwardly) can issue securities. A proprietorship cannot
Sell shares / grant ESOPs	No	Requires a company with share capital
Open a Razorpay/Stripe-style payment gateway merchant account	Qualified	Gateways will onboard proprietors, but KYC demands two business-proof documents — typically GST certificate + Udyam, or Shops & Establishment licence
Bid for a government tender	Usually no	Most tenders require a registered entity, Udyam, and audited financials

⚠ **As of FY 2025-26 — verify before relying**

The thresholds, section references and portal behaviours described above are stated as at early 2026 under the Income-tax Act, 1961 and the CGST Act, 2017. The Income-tax Act, 2025 takes effect from 1 April 2026. Confirm the current position on **incometax.gov.in** and **gst.gov.in**.

When registration becomes compulsory — the trigger list

Stop deferring and register the moment any one of these becomes true. Each is a statutory trigger, not a preference.

#	Trigger	What it forces	Statute / source
1	Aggregate turnover crosses ₹20 lakh (₹2,000,000) for services in a normal state	GST registration within 30 days	Sec. 22, CGST Act 2017
2	Aggregate turnover crosses ₹40 lakh (₹4,000,000) for goods, normal state	GST registration	Sec. 22 read with Notification 10/2019-CT
3	You make any **inter-State supply of goods**	Compulsory GST registration from rupee one	Sec. 24(i), CGST Act
4	You supply through an **e-commerce operator** that collects TCS	Compulsory GST registration (with limited exemptions for services)	Sec. 24(ix), CGST Act
5	You are liable to pay tax under **reverse charge**	Compulsory GST registration	Sec. 24(iii), CGST Act
6	You want to export services without paying IGST	GST registration + LUT in Form RFD-11	Sec. 16, IGST Act 2017
7	You employ staff (threshold varies, often 1 or 10 by state)	Shops & Establishment registration	State Shops & Establishments Act
8	You employ 20 or more persons	EPF registration	EPF & MP Act 1952 / Code on Social Security 2020
9	You employ 10 or more persons (20 in some states) with wages under the ceiling	ESIC registration	ESI Act 1948 / Code on Social Security 2020
10	You take external equity investment	Incorporation of a company	Companies Act 2013
11	You import or export **goods**	Import-Export Code from DGFT	Foreign Trade (D&R) Act 1992

12	Your client's procurement policy requires a registered vendor	Commercial, not statutory — but real	—

✦ **The 30-day clock**

GST registration is due within **30 days** of becoming liable (Section 25(1), CGST Act). The liability starts on the day you cross the threshold, not on the day you notice. If you register late, you still owe tax from the date of liability and you **cannot** claim input tax credit for the gap period on most inputs. Track your rolling aggregate turnover monthly on a spreadsheet; do not discover this at year end.

The cost of incorporating too early — a worked comparison

Two engineers, identical ₹18 lakh (₹1,800,000) of first-year consulting revenue, different structures.

TEXT

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SCENARIO A — Priya stays a sole proprietor in year 1
  Revenue (services, India + one US client)        18,00,000
  Expenses (laptop amortised, internet, travel)     2,40,000
  --
  Opted for Sec. 44ADA presumptive (50% deemed)     9,00,000  taxable
  Setup cost                                               0
  Annual compliance cost
    - ITR-4 filing by CA                               5,000
    - GST registration + 12 GSTR-1 + 12 GSTR-3B       18,000
    - Bookkeeping (light)                              6,000
  TOTAL ANNUAL ADMIN                                  29,000
  Audit required?                                         No  (44ADA, ≤ Rs 75L with ≤
  Separate legal entity?                                  No
  Liability?                                      Unlimited

SCENARIO B — Rahul incorporates a Pvt Ltd in month 1
  Same 18,00,000 revenue, pays himself 12,00,000 salary
  Setup cost
    - 2 x DSC Class 3                                  3,600
    - SPICe+ govt fee (auth. capital Rs 1,00,000)          0   (nil up to Rs 15L)
    - Stamp duty (state-dependent, e.g. Karnataka)     2,020
    - Professional fee (CA/CS end-to-end)             12,000
    - Rubber stamps, share certificate stamping        1,500
    SUBTOTAL SETUP                                    19,120
  Annual compliance cost
    - Statutory audit (mandatory, any turnover)       25,000
    - AOC-4 + MGT-7 + ADT-1 + DIR-3 KYC x2            12,000
    - ITR-6 + tax audit if applicable                 10,000
    - GST returns                                     18,000
    - Payroll: TDS 24Q x4, Form 16, PT                 9,000
    - Bookkeeping (full accrual, Schedule III)        24,000
    TOTAL ANNUAL ADMIN                                98,000
  Audit required?                                        Yes  (statutory, always)
  Separate legal entity?                                 Yes
  Liability?                                         Limited

DELTA IN YEAR 1: Rahul pays ~Rs 88,000 more to administer the same revenue.
He bought limited liability, the ability to issue ESOPs, and investor-readiness.
If he needed none of those in year 1, he bought nothing.
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When the maths flips

The company becomes clearly worth it when (a) you are raising external money, (b) you need to issue ESOPs to hire, (c) your contracts carry real liability exposure (you touch client production data, you sign indemnities), (d) your profits exceed roughly ₹25–30 lakh and the 22% company rate under Section 115BAA plus dividend planning beats your personal slab, or (e) your buyers simply will not contract with a proprietorship. Below that, a proprietorship or an LLP is usually the rational answer.

What "unregistered" still obliges you to do

- ☐ File an income tax return declaring business income (ITR-3 or ITR-4), by 31 July or 31 October depending on audit applicability
- ☐ Pay advance tax in instalments if your total tax liability exceeds ₹10,000 (₹10,000) for the year — Section 208
- ☐ Maintain books under Section 44AA if income exceeds ₹2.5 lakh (₹250,000) or turnover exceeds ₹25 lakh (₹2,500,000) — unless you are on a presumptive scheme
- ☐ Deduct TDS where applicable — individuals become liable once Section 44AB audit applied in the preceding financial year
- ☐ Comply with contracts you sign — personally and without limited liability
- ☐ Comply with FEMA for any foreign-currency receipts, and obtain FIRC / e-BRC for export of services

Unlimited liability is not a theoretical risk for engineers

As a sole proprietor, you and the business are the same legal person. If you sign a consulting agreement with an uncapped indemnity and then push a migration script that deletes a client's production table, the claim reaches your personal savings, your car and your flat. Indian SaaS and services contracts routinely contain indemnities for IP infringement and data breach. Read every limitation-of-liability clause before you decide that incorporation is "premature".

The Entity Decision

India offers six realistic vehicles for a technology business: Sole Proprietorship, Partnership Firm, Limited Liability Partnership, Private Limited Company, One Person Company and Section 8 Company. They differ on liability, taxation, compliance load, cost,

and — decisively for startups — the ability to issue shares to investors and employees. Choose on the basis of what you will need in 18 months, not what you need this week, because converting later is possible but costs time, fees and sometimes tax.

The six vehicles at a glance

Form	Governing statute	Separate legal person?	Liability	Typical user
Sole Proprietorship	No single Act — recognised by tax and state law	No	Unlimited, personal	Solo consultant, freelancer, small trader
Partnership Firm	Indian Partnership Act, 1932	No (firm is not a separate person)	Unlimited, joint and several	Family trading business, small professional firm
LLP	Limited Liability Partnership Act, 2008	Yes — body corporate	Limited to contribution	Services firm, bootstrapped co-founders, professional practice
Private Limited Company	Companies Act, 2013	Yes	Limited to unpaid share capital	VC-track startup, product company, anything with ESOPs
One Person Company (OPC)	Companies Act, 2013, Sec. 2(62)	Yes	Limited	Solo founder who wants limited liability without a partner
Section 8 Company	Companies Act, 2013, Sec. 8	Yes	Limited	Non-profit, foundation, research body

Full comparison — the table to actually decide from

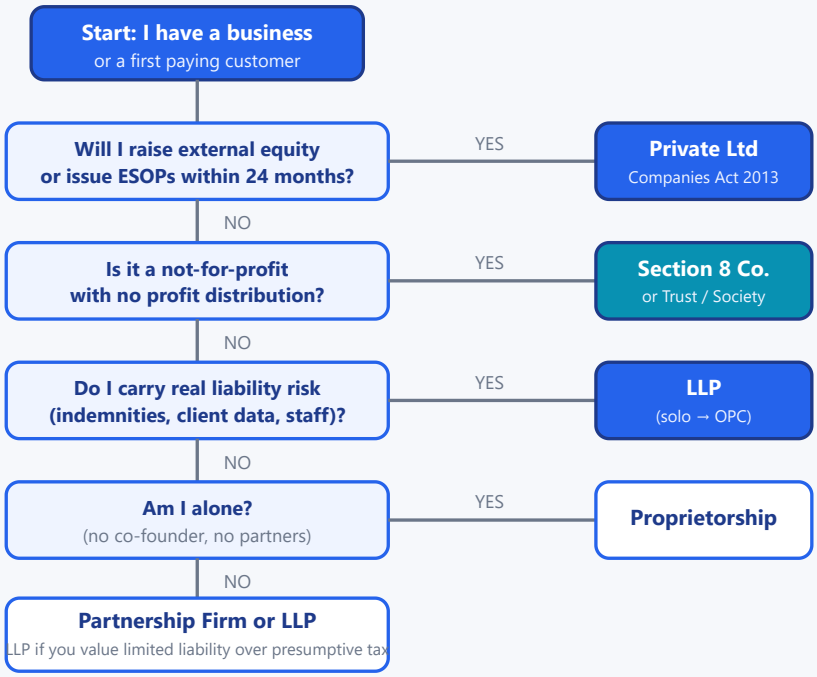
⚠ **Figures as at FY 2025-26 — re-verify**

Fees, stamp duty and tax rates below are indicative for early 2026. Stamp duty on incorporation is a **state subject** and varies materially. MCA fee schedules and income-tax rates are revised by notification and by the Finance Act. Verify on **mca.gov.in** and **incometax.gov.in**.

Dimension	Proprietorship	Partnership	LLP	Pvt Ltd	O
Min. members	1	2	2 partners, 2 designated partners	2 shareholders, 2 directors	1 di n
Max. members	1	50 (Rule 10, Companies Misc. Rules)	Unlimited	200	1
Separate legal entity	No	No	Yes	Yes	Ye
Liability	Unlimited	Unlimited, joint & several	Limited to agreed contribution	Limited to unpaid capital	Li
Perpetual succession	No — dies with you	No — dissolves on partner exit unless deed says otherwise	Yes	Yes	Ye ta
Setup cost (indicative)	₹0–₹5,000	₹3,000–₹12,000	₹7,000–₹15,000	₹10,000–₹25,000	₹9
Setup time	Same day	1–7 days (deed); 2–4 weeks if registering with Registrar of Firms	7–15 working days	5–12 working days	5- da
Registered office required	No	No	Yes	Yes	Ye
Statutory audit	Only if Sec. 44AB tax audit applies	Only if Sec. 44AB applies	If turnover > ₹40 lakh or contribution > ₹25 lakh	**Always**, from year one	**A**
Annual ROC filings	None	None (unregistered); minimal if registered	Form 8 + Form 11	AOC-4, MGT-7, ADT-1, DIR-3 KYC, DPT-3, MSME-1	A(Al K'

Realistic annual cost	₹10k–₹35k	₹15k–₹40k	₹18k–₹45k	₹45k–₹1,20,000	₹4
Income tax rate	Individual slab (up to 30% + surcharge + cess)	30% flat + surcharge + 4% cess	30% flat + surcharge + 4% cess	22% under Sec. 115BAA (effective ~25.17%); 15% under 115BAB for new manufacturing	Sa
Presumptive taxation	Yes — Sec. 44AD / 44ADA	Yes — Sec. 44AD / 44ADA	**No**	No	N
Can raise VC / angel money	No	No	Very hard — no shares, no preference structure, no ESOP	**Yes — the standard**	N m co
ESOPs	No	No	No (only profit-share arrangements)	**Yes** — Sec. 62(1)(b) + Rule 12	Te pr po
Credibility with enterprise buyers	Low	Low	Medium–High	**High**	M
Foreign investment (FDI)	Not permitted	Not permitted	Permitted under automatic route in 100%-FDI sectors, with conditions	**Permitted** — standard route	N (n be In
Conversion out	To LLP/Pvt Ltd — treated as slump sale/transfer; plan for tax	To LLP (Sec. 55 LLP Act) or to company (Sec. 366 Cos. Act)	To Pvt Ltd — possible but clunky; Sec. 366 route	To Public Ltd, or LLP (rarely done)	M Pv up tu cr
Closure	Just stop; surrender GST	Dissolution deed	Form 24 strike-off	STK-2 strike-off or voluntary liquidation under IBC	ST

Decision flowchart



A first-pass decision tree. It is deliberately biased against incorporation: the burden of proof is on the company, not on the proprietorship.

Five worked scenarios

Scenario 1 — Solo consultant billing a US client ₹60 lakh/year

Scenario 2 — Two co-founders bootstrapping a dev-tools SaaS

Scenario 3 — VC-track startup, three founders, pre-seed in six months

Scenario 4 — Family business: a father and two sons running an electronics trading firm

Scenario 5 — An engineering education non-profit

The three questions that decide it

1. WILL SOMEONE BUY SHARES?

If yes — within 24 months, at any valuation, from anyone other than you — it is a Private Limited Company. Nothing else issues shares to outsiders cleanly.

2. WHAT DOES MY WORST CONTRACT SAY?

Open the consulting agreement or MSA you are most likely to sign. Find the indemnity and the limitation of liability. If liability is uncapped or capped above your net worth, you want limited liability.

3. CAN I LIVE WITHOUT PRESUMPTIVE TAX?

Section 44AD/44ADA is only available to individuals, HUFs and partnership firms — **not** LLPs or companies. For a profitable solo consultant it is worth lakhs a year in avoided bookkeeping and tax.

> **Conversion is possible but never free**
> Proprietorship → Pvt Ltd under Section 366 (Part I company registration), partnership → LLP under Section 55 of the LLP Act, LLP → company under Section 366, OPC → Pvt Ltd under Rule 6 of the Companies (Incorporation) Rules 2014. Each requires fresh registrations (new PAN, new GSTIN, new bank account), consents, advertisements, and sometimes capital-gains analysis under Section 47 of the Income-tax Act for the transfer of assets. Budget 2–4 months and ₹30,000–₹1,00,000 in fees. Choosing right the first time is cheaper.

Pre-Incorporation Groundwork

Everything that destroys a startup in year three was decided, or not decided, in the two weeks before incorporation. Equity splits, vesting, who owns the code written before the company existed, what the company is called, and where its registered office sits — these are cheap to fix now and brutally expensive later. Do this work before you touch the MCA portal.

The founders' conversation — ten questions to answer in writing

#	Question	Why it matters	Where the answer lives
1	What percentage does each founder own?	The single most common cause of founder litigation	Founders' Agreement + share subscription
2	Does equity vest? Over how long? What cliff?	Stops a founder who leaves in month 4 from keeping 33% forever	Founders' Agreement + restricted share / buyback clause
3	Who is full-time? From when?	Part-time founders holding full equity poisons later rounds	Founders' Agreement
4	Who owns the code, designs and brand created **before** incorporation?	Without assignment, the individual owns it, not the company — a diligence killer	IP Assignment Deed, executed post-incorporation
5	What are the founders' salaries, and from what trigger?	Cash burn and tax treatment both change	Board resolution + employment agreements
6	Who signs cheques? What needs two signatures?	Bank mandate and internal control	Board resolution + bank mandate
7	Who is on the board? Who gets a board seat later?	Control, not just economics	Articles of Association + Shareholders' Agreement
8	What happens if a founder dies, is disabled, or quits?	Shares passing to a spouse who is not in the business	Transfer restrictions in AoA + Founders' Agreement
9	What is the non-compete and confidentiality position?	Indian courts will not enforce post-employment non-competes (Sec. 27, Indian Contract Act 1872) but will enforce confidentiality and non-solicit	Founders' Agreement

10	How do we resolve a deadlock at 50:50?	Two founders with equal shares and equal board seats can freeze a company permanently	Shareholders' Agreement — casting vote, buy-sell clause, or avoid 50:50

✗ **Never incorporate at exactly 50:50 with two directors and no deadlock clause**
It is the most common structure among engineer co-founders and the most dangerous. If the two of you disagree on anything requiring a board or shareholder decision, there is no mechanism to resolve it, the company cannot act, and the only exit is oppression-and-mismanagement proceedings before the NCLT under Sections 241–242 of the Companies Act 2013. Either agree an odd split (51:49, or 48:48:4 with a trusted third party), or write a binding deadlock resolution mechanism into the Articles.

Equity split — frameworks that survive contact with reality

There is no formula, but there are defensible approaches. Decide before valuation exists, because once money is on the table every conversation becomes a negotiation.

Approach	How it works	Good for	Failure mode
Equal split	Everyone gets 1/n	Genuinely equal commitment, skill and risk from day one	Papers over real differences; resentment compounds
Weighted contribution	Score idea, domain expertise, full-time commitment, capital, prior work, risk taken (quitting a job vs moonlighting)	Most real teams	Scoring arguments; do it once, write it down, move on
Dynamic / slicing-pie	Equity accrues based on contributed time and cash at agreed rates	Very early, pre-product, uncertain commitment	Investors dislike unresolved cap tables; must crystallise before any round
CEO premium	The person accountable for the outcome gets 5–15 points more	Teams where one person is clearly leading	Only works if the premium is earned visibly

VESTING — THE NON-NEGOTIABLE

Standard Indian startup practice mirrors Silicon Valley: **4-year vesting with a 1-year cliff**, monthly or quarterly thereafter. Mechanically, in an Indian Private Limited Company, founders usually hold their shares outright but subject to a **buyback/transfer obligation** on unvested portions, written into the Founders' Agreement and reflected in the Articles. Direct "reverse vesting" of issued equity is done via a contractual call option at nominal price, because Section 68 buyback restrictions make a true company buyback cumbersome.

TEXT

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WORKED EXAMPLE — three founders, 4-year vesting, 1-year cliff

Cap table at incorporation (authorised Rs 10,00,000 / paid-up Rs 1,00,000)
  Founder A   5,100 equity shares of Rs 10   =  Rs 51,000   51.0%
  Founder B   3,400 equity shares of Rs 10   =  Rs 34,000   34.0%
  Founder C   1,500 equity shares of Rs 10   =  Rs 15,000   15.0%
                                               ──────────   ──────
                                              Rs 1,00,000  100.0%

Vesting schedule applied to each founder's holding:
  Month 0–11   : 0% vested. All shares subject to buyback at face value.
  Month 12     : 25% vests (the cliff).
  Month 13–48  : remaining 75% vests at 1/48th of total per month.
  Month 48     : 100% vested.

Founder C resigns at month 18.
  Vested   = 25% + (6 months x 2.0833%) = 25% + 12.5% = 37.5%
  Vested shares   : 1,500 x 37.5% =   562 shares  (C keeps)
  Unvested shares : 1,500 x 62.5% =   938 shares  (bought back at
                                                   Rs 10 face value
                                                   = Rs 9,380 total)

WITHOUT a vesting agreement, C walks away with the full 15% of a company
she contributed 18 months to, and that 15% sits on the cap table through
every future round, diluting the people who stayed.
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✦ **Acceleration clauses**

Agree up front on **single-trigger** (acceleration on acquisition) vs **double-trigger** (acceleration on acquisition *and* termination without cause). Double-trigger is market standard and is what acquirers will accept. Single-trigger acceleration for all founders can reduce your acquisition price, because the acquirer must re-incentivise the team from scratch.

Co-founder agreement — minimum contents

- ☐ Parties, effective date, and recital of the business
- ☐ Roles, titles and decision authority — who decides what without a board vote
- ☐ Equity split and the exact number of shares each will subscribe to
- ☐ Vesting schedule, cliff, acceleration triggers, and the buyback mechanic with price
- ☐ Time commitment — full-time, and what outside activities are permitted
- ☐ Compensation now and the trigger for raising it
- ☐ Intellectual property assignment — all pre-incorporation and ongoing work product vests in the company
- ☐ Confidentiality — survives termination indefinitely for trade secrets
- ☐ Non-solicitation of employees and customers
- ☐ Transfer restrictions: right of first refusal, tag-along, drag-along
- ☐ Leaver provisions: good leaver vs bad leaver and the differing buyback prices
- ☐ Deadlock resolution
- ☐ Dispute resolution — arbitration seat and venue under the Arbitration and Conciliation Act 1996, governing law, and jurisdiction
- ☐ Amendment only in writing signed by all founders

⚠ **Stamp the agreement**
A founders' agreement is an instrument chargeable with stamp duty under the Indian Stamp Act 1899 as adapted by your state. An inadequately stamped agreement is **inadmissible in evidence** under Section 35 of the Indian Stamp Act until the duty and penalty are paid. Execute on e-stamp paper of the correct value for your state — typically ₹100–₹500 for an agreement, but check your state's schedule. Position stated as at FY 2025-26.

Naming the company and the trademark search

Your company name and your brand are two different legal objects. MCA approves the **company name** under the Companies Act. The Trade Marks Registry grants the **trademark** under the Trade Marks Act

1999. Having one does not give you the other. Engineers routinely discover this after printing business cards.



1. **Check the domain first**
   Cheapest and fastest signal. If the .com and .in are both gone and the squatter wants $12,000, pick another name. Do this before you emotionally commit.

2. **Search the Trade Marks Registry**
   Go to ipindia.gov.in → Trade Marks → Public Search. Search your word mark in **Class 42** (software/SaaS/IT services), **Class 9** (downloadable software) and **Class 35** (business services) at minimum. Also search phonetically similar marks — "Kwik" conflicts with "Quick".

3. **Search MCA for existing companies**
   MCA portal → MCA Services → Check Company Name. Also check LLP names. The Companies (Incorporation) Rules 2014 prohibit names that are identical or "too nearly resemble" an existing company or LLP name, or a registered trademark.

4. **Check for the obvious landmines**
   No name suggesting government patronage, no name requiring a sectoral regulator's NOC (bank, insurance, stock exchange, venture capital, mutual fund, chit fund, Nidhi) unless you have that NOC.

5. **Decide the suffix**
   "Private Limited" for a Pvt Ltd, "LLP" for an LLP, "(OPC) Private Limited" for an OPC.

6. **File the trademark application in parallel**
   Form TM-A on ipindia.gov.in. For an applicant with DPIIT startup recognition or Udyam MSME registration, the government fee is reduced — indicatively ₹4,500 per class per mark for e-filing by individuals/startups/MSMEs versus ₹9,000 for others. **Verify current fees on ipindia.gov.in.**
   You can use ™ from the day you file; ® only after registration.

> **Two-part name structure**
> MCA expects a name in the form **[Distinctive element] + [Activity/object element] + [Suffix]**. "Nimbus Data Systems Private Limited" works. A bare "Nimbus Private Limited" is more likely to be queried. The activity element should align with the main object clause in your MoA.

Registered office — and the truth about virtual offices

Every company and LLP must have a registered office capable of receiving communications (Section 12, Companies Act 2013). It is where the Registrar sends notices, where the statutory registers live, and what appears on every letterhead and invoice.

Option	Workable?	Evidence you must file	Risks
Your own flat (owned)	Yes	Utility bill not older than 2 months + NOC from owner (yourself)	Address becomes public on MCA; society bye-laws may prohibit commercial use; state Shops & Establishment registration may be refused
Rented flat	Yes	Registered rent agreement + utility bill + **landlord NOC**	Landlord may refuse; lease may bar commercial use; you must file Form INC-22 when you move
Parent's / relative's house	Yes	Utility bill + NOC from the owner	Same as above; practical for first-year startups
Coworking space	Yes	Agreement/invoice + NOC from the operator + utility bill	Operator must be willing to give NOC and accept GST registration; many do, some do not
Virtual office	Qualified	Same as coworking	See the danger callout below

Virtual offices and GST — the real risk

MCA will generally accept a virtual office address for incorporation if the paperwork (agreement, NOC, utility bill) is in order. **GST is where it breaks.** GST officers conduct physical verification of the principal place of business under Rule 25 of the CGST Rules, and a shared desk with fifty companies registered at the same address is a recognised red flag. Registrations get rejected, and existing registrations get suspended under Rule 21 for "place of business not found". If you use a virtual office, pick a reputable operator that will produce a dedicated cabin or desk on inspection and will cooperate with the officer. Expect additional scrutiny and a longer timeline. Verify current verification requirements on **gst.gov.in**.

Capital structure — authorised vs paid-up

Term	Meaning	Practical choice for a startup
Authorised capital	The ceiling of share capital the company may ever issue, stated in the MoA. Increasing it later needs a shareholders' resolution, Form SH-7, MCA fee and state stamp duty.	₹10,00,000 (₹1,000,000) is a common sweet spot — MCA incorporation fee is nil up to ₹15 lakh authorised capital (verify the current schedule), leaving headroom for a seed round without an SH-7
Paid-up capital	What shareholders have actually paid in. Must be deposited in the company's bank account and declared in INC-20A.	₹1,00,000 (₹100,000) is typical and sufficient. There is **no minimum paid-up capital** for a private company since the Companies (Amendment) Act 2015.
Face value	Nominal value per share, usually ₹10 or ₹1.	₹10 is conventional. ₹1 gives finer granularity for ESOP allocation and small percentage splits.
Securities premium	Amount received above face value, credited to Securities Premium Account under Section 52.	Where investor money lands. ₹1 crore for 10,000 shares of ₹10 face value = ₹1,00,000 capital + ₹99,00,000 premium.

TEXT

```
WHY FACE VALUE MATTERS — a granularity example

With Rs 10 face value and Rs 1,00,000 paid-up capital:
   Total shares = 10,000
   Smallest possible grant = 1 share = 0.01% of the company
   An ESOP grant of 0.35% = 35 shares. Fine.

With Rs 1 face value and Rs 1,00,000 paid-up capital:
   Total shares = 1,00,000
   Smallest grant = 0.001%
   Clean round numbers survive four rounds of dilution without fractions.

Most Indian startups use Rs 10 and it causes no real problem.
Rs 1 is slightly more elegant. Do not agonise over this.
```

Resident director requirement

⚠ **Section 149(3), Companies Act 2013 — verify current wording**
Every company must have **at least one director who has stayed in India for a total of not less than 182 days during the financial year**. For a newly incorporated company the requirement applies proportionately to the part of the year after incorporation. This is the hardest constraint for a founding team that is entirely overseas: you must find a trustworthy resident director, and that person carries real statutory liability. Confirm the current text on **mca.gov.in**. Position stated as at FY 2025-26.

WHO CAN BE A DIRECTOR

- ☐ An individual only — a company cannot be a director (Section 149(1))
- ☐ Must have a **Director Identification Number (DIN)**; for the first directors of a new company, DIN is allotted through SPICe+ itself for up to three directors, with no separate DIR-3
- ☐ Must not be disqualified under Section 164 — undischarged insolvent, convicted of an offence involving moral turpitude with a sentence of six months or more in the last five years, or a director of a company that failed to file financial statements or annual returns for three continuous financial years
- ☐ Must file **DIR-3 KYC** every year by 30 September or the DIN is deactivated; reactivation costs ₹5,000
- ☐ A person may hold directorships in a maximum of 20 companies, of which not more than 10 may be public companies (Section 165)

Step 1 — Digital Signature Certificate (Class 3)

Nothing can be filed with the MCA without a Digital Signature Certificate. Every subscriber to the Memorandum, every proposed director, and the certifying professional must each hold a valid Class 3 DSC. This is the first thing to buy and, because of video KYC and courier timelines, it is frequently the thing that delays an incorporation by a week.

What a DSC is and which class you need

Attribute	Detail
Legal basis	Information Technology Act, 2000 — Sections 3 and 35; Controller of Certifying Authorities (CCA)
Class required for MCA	**Class 3**. Class 2 was discontinued from 1 January 2021 per CCA guidelines — verify at cca.gov.in
Type	**Signature** certificate is sufficient for MCA, Income Tax and GST. Combo (Signature + Encryption) is needed for e-tendering on GeM and other government portals
Storage	Must be on a FIPS-compliant **crypto USB token** (ePass2003, ProxKey, HYP2003 and similar). The private key cannot be exported or copied.
Validity	1, 2 or 3 years. Buy 2 or 3 years — the per-year cost drops sharply and renewal is a nuisance.
Cost (indicative, FY 2025-26)	₹900–₹2,500 for 2 years including token, depending on CA and reseller. Token alone ₹300–₹600.

Licensed Certifying Authorities

Only a CCA-licensed Certifying Authority may issue a DSC. The commonly used ones include **eMudhra**, **Sify (SafeScrypt)**, **(n)Code Solutions**, **Capricorn**, **VSign**, **IDSign**, **Pantasign** and **NSDL**. You can buy direct or through a registration authority or reseller — the certificate is identical; resellers compete on price and hand-holding. The authoritative list of licensed CAs is published on **cca.gov.in**.

Documents required

INDIAN NATIONAL

PAN card (mandatory, and the name must match exactly); Aadhaar or Passport or Voter ID or Driving Licence as identity/address proof; a recent photograph; a mobile number linked to Aadhaar for OTP; an email address that only you control.

FOREIGN NATIONAL / NRI

Passport (mandatory), apostilled or consularised depending on the Hague Convention status of the issuing country; overseas address proof (bank statement or utility bill) similarly attested; photograph; visa or residence permit if currently in India. Processing takes materially longer — plan 7–15 days.

The issuance process

1. **Choose a CA or reseller and pay**
   Online application form; you select class (Class 3), type (Signature), validity and whether you need a token shipped.

2. **Aadhaar eKYC or PAN-based KYC**
   Most Indian applicants complete paperless Aadhaar-based eKYC with an OTP to the Aadhaar-linked mobile. If the Aadhaar mobile is out of date, you fall back to document upload plus attestation, which is slower.

3. **Video verification**
   A short recorded video in which you state your name, state that you are applying for a DSC, read out a one-time code shown on screen, and display your PAN card. Record in good light, in a quiet room, with the PAN legible. This step is rejected more often than any other.

4. **Verification and approval**
   The Certifying Authority reviews. Typically a few hours to two working days.

5. **Download to token**
   You receive a download link and a reference/authentication code. Plug in the USB token, install the token driver and the CA's download utility, and download the certificate onto the token. The certificate is written to the token and cannot be moved.

6 **Register the DSC on MCA**

MCA portal → login → Associate DSC, selecting the role (Director, Professional, Manager/Secretary, Nodal Officer). The DSC must be associated with the correct DIN or PAN or MCA forms will fail validation at upload.

✦ **Keep the token PIN safe**

If you forget the token password there is no recovery. The token locks after a set number of wrong attempts — often five or ten — and becomes a paperweight; you then buy a new token and a new certificate. Record the PIN and store it with your other founder documents.

Common DSC failures and fixes

Failure	Cause	Fix
Name mismatch rejection	Application name "Rahul K Sharma" vs PAN "Rahul Kumar Sharma"	Enter the name **exactly** as printed on the PAN card, including expansions and middle names
Video KYC rejected	Poor lighting, background noise, PAN not legible, code not read aloud correctly	Re-record. Natural light, plain wall, phone held steady, speak slowly
OTP never arrives	Mobile number not linked to Aadhaar, or linked to an old number	Update the mobile at an Aadhaar Seva Kendra (takes days), or use the non-Aadhaar document route
DSC not recognised on MCA	Token driver not installed; browser blocking the signing applet; the CA's bridge utility not running	Install the CA's utility, use a supported browser, run as administrator, confirm the MCA signing service is running in the system tray
"DSC already registered against another DIN"	The same person previously registered a DSC under a different DIN or PAN	De-register the old association on MCA before associating the new one
Form upload fails with signature error	DSC expired, or the form was modified after signing	Check validity; always sign as the final action before upload
Foreign director's DSC delayed	Apostille or consularisation of the passport takes 1–3 weeks	Start the apostille process before anything else in the incorporation

Step 2 — Name Reservation

Name approval is where most first-time incorporations stall. The MCA rejects names for reasons that feel arbitrary until you read the Companies (Incorporation) Rules, 2014 — Rules 8, 8A and 8B set out precisely what is "undesirable" and what "resembles too nearly" an existing name. Apply with two genuinely different options, expect one rejection, and budget a week.

Two routes to a reserved name

Attribute	SPICe+ Part A	RUN (Reserve Unique Name)
When used	New incorporation — Part A reserves the name and flows directly into Part B	Changing the name of an **existing** company
Fee (indicative)	₹1,000 per application	₹1,000 per application
Names per application	2 proposed names	2 proposed names
Resubmission	One resubmission permitted, usually within 15 days, at no extra fee	One resubmission permitted
Validity of approval	**20 days** from approval for a new company (Section 4(5)(i) read with Rule 9A) — verify the current period	60 days for an existing company changing its name
Can you skip it?	Yes — you may file SPICe+ Part B directly with a name, taking the risk that the name is rejected and the whole package is resubmitted	Not applicable

⚠ **Fees and validity as at FY 2025-26**
The ₹1,000 name-reservation fee and the 20-day validity are stated as at early 2026 under the Companies (Registration Offices and Fees) Rules, 2014. MCA revises fees and the V3 portal workflow periodically. Check the live fee calculator on **mca.gov.in**.

What gets a name rejected

IDENTICAL OR TOO NEARLY RESEMBLING — RULE 8A

Rule 8A lists the differences that are **ignored** when deciding whether two names are identical. If the only difference between your name and an existing one is in this list, you will be rejected.

Difference that is DISREGARDED	Example
Word "Private", "Limited", "OPC", "LLP"	"Nimbus Tech Ltd" vs "Nimbus Tech Pvt Ltd" — treated as identical
Plurals and singulars	"Nimbus Systems" vs "Nimbus System"
Spacing, punctuation, case	"Nimbus Tech" vs "NimbusTech" vs "Nimbus-Tech"
Definite and indefinite articles	"The Nimbus Tech" vs "Nimbus Tech"
Phonetic equivalence or minor spelling variation	"Nimbus" vs "Nimbas" vs "Nymbus"
Different tense or number of the same word	"Nimbus Solutions" vs "Nimbus Solution"
Addition of a place name only	"Nimbus Tech Bangalore" vs "Nimbus Tech"
Addition of generic or descriptive words	"New Nimbus Tech", "Modern Nimbus Tech"
Use of "&" versus "and"	"Nimbus & Co" vs "Nimbus and Co"
Numerals in word or figure form	"Nimbus 3" vs "Nimbus Three"

UNDESIRABLE NAMES — RULE 8B AND SECTION 4(2)

- ☐ Offensive, obscene, or likely to violate any law
- ☐ Suggests connection with the Government of India, a State Government, or a local authority, without approval
- ☐ Contains a name restricted under the Emblems and Names (Prevention of Improper Use) Act, 1950
- ☐ Is identical to a **registered trademark** or a trademark for which an application is pending, unless you produce the proprietor's NOC

- [ ] Includes **Bank, Insurance, Stock Exchange, Mutual Fund, Venture Capital, Asset Management, Nidhi, Chit Fund, Collective Investment Scheme** without the relevant regulator's approval from RBI, SEBI or IRDAI
- [ ] Includes "Board", "Commission", "Authority", "Undertaking", "National", "Federal", "Republic", "President", "Small Scale Industries", "Financial Corporation", "Municipal", "Panchayat", "Development Authority", "Prime Minister", "Chief Minister", "Minister", "Nation" — without approval
- [ ] Is only a generic or descriptive word with no distinctive element — "Software Private Limited"
- [ ] Is the name of a company that has been struck off and the period for restoration has not expired
- [ ] Contains the name of an existing company or LLP as a substantial part, unless that company gives a board-resolution NOC and there is a genuine group relationship

Worked examples — names that get rejected and why

Proposed name	Outcome	Reason	What to do instead
"Infosys Labs Private Limited"	Rejected	Contains an existing company name and a registered trademark as a substantial part	Pick an unrelated distinctive word
"Cloud Solutions Private Limited"	Rejected	Purely generic and descriptive; no distinctive element; near-certain existing matches	"Arkavati Cloud Solutions Private Limited"
"National AI Research Private Limited"	Rejected	"National" suggests government patronage	Drop "National"
"Zomatto Technologies Private Limited"	Rejected	Phonetically identical to a registered trademark	Choose a name with no phonetic collision
"Swift Pay Bank Private Limited"	Rejected	"Bank" requires RBI approval; "Pay" invites payments-regulator scrutiny	"Swiftpay Technologies Private Limited" — still check RBI positioning
"Nimbus Tech Private Limited" where "Nimbus Technologies Pvt Ltd" exists	Rejected	Too nearly resembles; "Tech" versus "Technologies" is not a distinguishing difference	Change the distinctive word, not the descriptor
"Kaveri Data Systems Private Limited" (no TM conflict, no MCA match)	Approved	Distinctive element + activity element + suffix; passes search	—
"Vartalaap Labs Private Limited"	Approved	Coined or uncommon Indic word; distinctive; low collision probability	—

The highest-success naming pattern for a tech company

Take an uncommon Sanskrit, Tamil, regional or coined word of two or three syllables that is easy to spell after hearing it once, add a neutral activity word ("Technologies", "Labs", "Systems", "Networks", "Analytics"), and add the suffix. Run it through the ipindia search in Classes 9, 35 and 42 and the MCA company and LLP search. If all four come back clean and the .com is available or affordable, file it.

Filing SPICe+ Part A — the fields

TEXT

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SPICe+ PART A  (Name Reservation)  -- field by field

Type of company        : Private / Public / OPC / Producer / Section 8 / Nidhi
Class of company       : Company limited by shares        (usual)
                         Company limited by guarantee
                         Unlimited company
Category               : Company having share capital     (usual)
Sub-category           : Non-government company           (usual)
                         Union / State Government company
                         Subsidiary of a foreign company
                         Guarantee and association company

Main division of industrial activity (NIC-2008 code)
  Software products / SaaS       → 62011  Computer programming activities
  IT consulting                  → 62021  Computer consultancy
  IT infrastructure / managed    → 62029  Other IT and computer service
  Data processing / hosting      → 63111  Data processing, hosting
  Web portals                    → 63121  Web portals
  (Pick the NIC code that genuinely matches. It is printed on the
   Certificate of Incorporation and is used by banks and GST officers.)

Description of main objects : 2-3 lines in plain English. Must be
  consistent with the NIC code and with the object clause you will
  put in the eMoA at Part B.

Proposed name 1 : [distinctive] [activity] Private Limited
Proposed name 2 : [different distinctive] [activity] Private Limited

Auto-check for name availability : run it; it is a soft check only

Attachments (only if applicable):
  - NOC from trademark proprietor (board resolution)
  - NOC from existing company / LLP whose name forms part of yours
  - Trademark registration certificate (if the name IS your own TM)
  - Sectoral regulator approval (RBI / SEBI / IRDAI) if required
  - Proof of relation for a name based on a person's name

Fee: Rs 1,000   (as at FY 2025-26; verify on mca.gov.in)
```

If the name is rejected

1. **Read the exact objection text**
   MCA gives a reason code and a short note. "Resembles existing name X" and "undesirable under Rule 8" require completely different responses.

2. **Use the free resubmission**

You normally get one resubmission within the stated window, commonly 15 days. Use it with two **genuinely different** names, not variations of the rejected one. Changing "Tech" to "Technologies" after a resemblance objection will be rejected again.

3. **Attach evidence if you have a right**
   If you hold the trademark, attach the registration certificate. If a group company consents, attach a certified board resolution NOC.

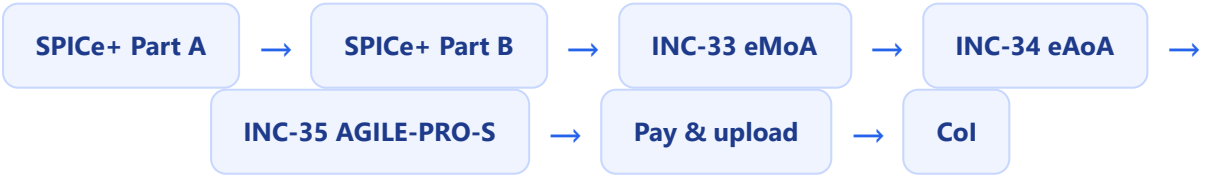
4. **If both attempts fail, pay again**
   A fresh ₹1,000 application. Painful, but faster than arguing.

5. **Escalate only with grounds**
   Ordinary name rejections are not realistically litigated. Changing the name is almost always cheaper than fighting.

> **You can skip Part A entirely**
> Experienced practitioners often file SPICe+ Part B directly with the name embedded, because the name is examined as part of the same scrutiny. The trade-off: if the name fails, you resubmit the entire incorporation package rather than a ₹1,000 name form. For a first-timer, reserve the name first.

Step 3 — SPICe+ Part B and the Linked Forms

SPICe+ Part B is the single integrated form that incorporates the company, allots DINs, obtains PAN and TAN, registers for EPFO and ESIC, opens a bank account request, and (optionally) registers GST and professional tax. It is filed together with eMoA (INC-33), eAoA (INC-34) and AGILE-PRO-S (INC-35). Four forms, one submission, one fee computation, one scrutiny. If any one is wrong, the whole bundle comes back.



What each form does

Form	Name	What it achieves	Signed by
SPICe+ Part A	Name reservation	Reserves the company name	Any one applicant (DSC)
SPICe+ Part B	Simplified Proforma for Incorporating Company Electronically Plus	Incorporation, DIN allotment (up to 3), PAN, TAN, EPFO, ESIC, bank account request	All subscribers + one director + certifying professional
INC-33	eMoA — electronic Memorandum of Association	Name, registered office state, objects, liability, capital, subscriber clause	All subscribers + certifying professional
INC-34	eAoA — electronic Articles of Association	Internal rules: share transfer, board, meetings, borrowing powers	All subscribers + certifying professional
INC-35	AGILE-PRO-S	GSTIN (optional), EPFO, ESIC, Professional Tax (Maharashtra/Karnataka etc.), bank account, Shops & Establishment (select states)	Same director who signs SPICe+ Part B
INC-9	Declaration by subscribers and first directors	Auto-generated in most cases; declares non-conviction and compliance	Each subscriber/director (auto-generated where DIN and PAN exist)

⚠ **eMoA/eAoA are not always usable**
INC-33 and INC-34 can only be used where **all subscribers have a DIN or PAN and a DSC**. If a subscriber is a foreign national without an Indian PAN, or a body corporate, you must attach a **physically signed, notarised and apostilled MoA and AoA** as PDF attachments to SPICe+ Part B instead. This changes the timeline materially — budget an extra 2–3 weeks for international document handling. Confirm the current rule on **mca.gov.in**.

SPICe+ Part B — field groups explained

GROUP 1: COMPANY DETAILS

Field	What to enter	Gotcha
SRN of Part A / reserved name	Auto-filled from the approved Part A	Name expires in 20 days — Part B must be filed inside that window
Registered office address	Full address with PIN code, within the state of the ROC jurisdiction	Must match the utility bill and NOC exactly, including flat number and building name
Jurisdiction of Police Station	Nearest police station to the registered office	Frequently wrong; look it up, do not guess
Email and phone of the company	A company-controlled address, not a personal Gmail if avoidable	All ROC notices go here; it is published on MCA master data
Whether office is owned/rented/leased	Select correctly	Determines which proof-of-address attachments are required

GROUP 2: CAPITAL STRUCTURE

Field	Example for a tech startup
Authorised equity share capital	₹10,00,000 divided into 1,00,000 equity shares of ₹10 each
Subscribed/paid-up capital	₹1,00,000 divided into 10,000 equity shares of ₹10 each
Preference share capital	Usually nil at incorporation; CCPS are issued later to investors
Number of members	2 (or 3) — matching the subscriber sheet in the eMoA

GROUP 3: SUBSCRIBERS AND DIRECTORS

- [ ] Each subscriber's name exactly as per PAN, father's name, DOB, nationality, occupation, educational qualification, place of birth
- [ ] Permanent and present address; if different, both are required with separate proofs
- [ ] DIN if held; if not, a DIN is allotted through this form for up to three first directors

- [ ] Number of shares subscribed and the amount — this must total exactly to the paid-up capital
- [ ] Designation: Director, Managing Director, Whole-time Director, Nominee (OPC)
- [ ] Whether the person is a resident of India (Section 149(3) check)
- [ ] Interest in other entities — declared, and cross-checked by the ROC against MCA data

GROUP 4: ATTACHMENTS

#	Attachment	Mandatory?	Notes
1	Proof of registered office address — latest utility bill (electricity/telephone/gas/water)	Yes	Must be **not older than two months** and in the owner's name
2	NOC from the owner of the premises	Yes (if not owned by the company)	Plain letter on the owner's signature, naming the company and permitting use as registered office
3	Rent agreement / lease deed	If rented	Should be registered where the state requires registration
4	Sale deed / property tax receipt	If owned	—
5	Identity and address proof of each subscriber and director	Yes	PAN mandatory for Indians; passport mandatory for foreign nationals
6	INC-9 declaration	Auto-generated	Manually attached only in edge cases
7	DIR-2 consent to act as director	Yes	Signed by each director
8	Specimen signature in **INC-10**	Where subscribers have no DIN	—
9	NOC / approval from sectoral regulator	If applicable	RBI for NBFC-like objects, SEBI, IRDAI etc.
10	Trademark NOC or registration certificate	If name is based on a TM	—
11	Apostilled/notarised documents for foreign subscribers	If applicable	Apostille for Hague Convention countries;

			consularisation otherwise
12	Resolution of the subscriber body corporate	If a company is a subscriber	Naming the authorised signatory

Drafting the object clause

The Memorandum's object clause defines what the company may lawfully do. Section 4(1)(c) requires the objects to be stated, and Section 245 and the *ultra vires* doctrine mean acts outside the objects can be challenged. Bankers, GST officers and investors all read this clause. Draft it to be **broad enough to cover five years of pivots** but **specific enough to be credible** for the NIC code you selected.

TEXT

WORKED OBJECT CLAUSE – software services and products company
(To be inserted in Clause III(A) "Main Objects" of the eMoA, INC-33)

III. (A) THE OBJECTS TO BE PURSUED BY THE COMPANY ON ITS
INCORPORATION ARE:

1. To design, develop, create, customise, implement, deploy, host, maintain, support, license, sublicense, distribute, market and deal in computer software, software-as-a-service platforms, mobile and web applications, application programming interfaces, software development kits, developer tools, databases, data pipelines, machine learning and artificial intelligence models, algorithms and related technologies, whether proprietary, open-source or third-party, in India and abroad.

2. To render information technology and information technology enabled services including software consultancy, systems analysis and design, systems integration, cloud architecture and migration, data engineering and analytics, cybersecurity assessment, quality assurance and testing, technical support, managed services, staff augmentation, training, research and advisory services, to persons, firms, companies, government bodies and institutions in India and abroad.

3. To carry on the business of providing platforms, portals, marketplaces and subscription services delivered over the internet or other electronic networks, and to collect subscription, licensing, transaction, advertising and service fees in respect thereof, subject to applicable law.

(B) MATTERS WHICH ARE NECESSARY FOR FURTHERANCE OF THE OBJECTS SPECIFIED IN CLAUSE III(A) ARE:

1. To acquire, protect, register, renew, license, assign and otherwise deal in patents, copyrights, trademarks, designs, trade secrets, domain names and other intellectual property.
2. To purchase, take on lease, hire or otherwise acquire and to sell, let out or dispose of computers, servers, networking equipment, office premises, furniture and other assets.
3. To enter into partnerships, joint ventures, reseller, distribution, referral and strategic alliance arrangements.
4. To employ, train and remunerate personnel, to constitute employee stock option schemes and other incentive plans in accordance with the Companies Act, 2013.
5. To open and operate bank accounts, to borrow or raise money with or without security, and to invest and deal with the moneys of the Company not immediately required.
6. To do all such other lawful things as are incidental or

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   conducive to the attainment of the above objects.

PROVIDED THAT the Company shall not carry on any activity
requiring the prior approval of the Reserve Bank of India,
the Securities and Exchange Board of India or any other
regulator without first obtaining such approval, and shall
not carry on the business of banking, insurance, non-banking
financial activity or chit fund.
```

✦ **The proviso matters**

That last paragraph — the negative covenant excluding banking, insurance and NBFC activity — is what prevents the ROC from raising a query asking whether you need an RBI licence. Fintech-adjacent objects attract scrutiny; an explicit carve-out usually resolves it.

AGILE-PRO-S (INC-35) — what you are actually applying for

Registration	Optional?	Should a tech startup take it here?
GSTIN	Optional	**Usually no.** GST via AGILE is a known source of rejection because the officer wants the incorporation documents, bank proof and premises photographs which you do not have yet. Register separately on gst.gov.in after you have the CoI and a bank account.
EPFO registration	Mandatory in the form	Yes — you get an establishment code automatically. You are **not** liable to contribute until you cross the employee threshold, but you may receive compliance reminders. Respond with a "no employees covered" return if required.
ESIC registration	Mandatory in the form	Same position as EPFO.
Professional Tax	State-dependent (Maharashtra, Karnataka, West Bengal and others)	Yes if offered for your state — it is required anyway once you pay salaries.
Bank account	Optional but useful	Yes. Choose a bank you have actually spoken to. The AGILE route pre-populates KYC but you will still visit a branch.
Shops & Establishment	Select states only	Yes where available; otherwise do it on the state labour portal.

⚠ **EPFO/ESIC numbers are issued, not activated**

Receiving an EPFO establishment code at incorporation does **not** mean you must start contributing. Liability arises under the EPF & MP Act 1952 (and now the Code on Social Security 2020) when you employ the threshold number of persons. But the code exists, so EPFO's systems expect you to respond. Keep a record and, if you receive a notice, file the nil declaration your consultant advises. Verify the current threshold and transition position on **epfindia.gov.in** and **esic.gov.in**, given the Labour Codes are being brought into force.

Professional certification

SPICe+ Part B, INC-33 and INC-34 must be digitally certified by a practising **Chartered Accountant, Company Secretary, Cost Accountant or Advocate**, who declares that the documents have been verified and the requirements complied with. This is a legal requirement, not a convenience — you cannot file alone. The professional's membership number and certificate of practice number go into the form, and they carry liability for false certification under Section 448 (punishment for false statements).

Stamp duty — the state-variable cost

⚠ **Stamp duty rates below are indicative, as at FY 2025-26 — verify with your state**

Stamp duty on the MoA, AoA and Form INC-32 is levied under the Indian Stamp Act 1899 as amended by each state, and is collected through the MCA portal at the time of filing. Rates and slabs change by state finance act. The MCA fee calculator shows the exact amount for your state and capital before you pay.

State	Indicative stamp duty on MoA + AoA for ₹1 lakh paid-up / ₹10 lakh authorised	Notes
Delhi	₹10 (MoA) + 0.15% of authorised capital (AoA), minimum ₹200	Relatively low
Maharashtra	₹200 (MoA) + 0.2% of authorised capital (AoA), capped	Among the higher states; cap applies
Karnataka	₹1,000 (MoA) + ₹500 per ₹10 lakh of authorised capital (AoA)	Flat-ish structure
Tamil Nadu	₹200 (MoA) + ₹300 (AoA)	Low and flat
Telangana	₹1,000 (MoA) + 0.15% of authorised capital (AoA)	—
Uttar Pradesh	₹500 (MoA) + ₹500 (AoA)	Low and flat
Gujarat	₹100 (MoA) + 0.5% of authorised capital (AoA), capped	Percentage-based; capital size matters
West Bengal	₹60 (MoA) + ₹300 (AoA)	Low

MCA fees

Item	Fee (indicative, FY 2025-26)
SPICe+ Part A — name reservation	₹1,000
SPICe+ Part B — incorporation, authorised capital up to ₹15,00,000	**Nil**
SPICe+ Part B — authorised capital above ₹15,00,000	Slab-based per the Companies (Registration Offices and Fees) Rules 2014
PAN issuance	₹66 (approx.)
TAN issuance	₹65 (approx.)
Stamp duty	State-variable — see table above
Form INC-20A (commencement of business)	₹200 for capital below ₹1,00,000; slab-based above
Form ADT-1 (auditor appointment)	₹200–₹600 depending on capital slab

✓ **The zero-fee position**

MCA charges **no incorporation fee** for companies with authorised capital up to ₹15 lakh (₹1,500,000). This is why keeping authorised capital at ₹10 lakh is close to free, and why "the government charges ₹X for registration" claims you see online are usually about stamp duty and professional fees, not MCA fees. Verify on the **mca.gov.in** fee calculator before filing.

Common SPICe+ rejection reasons

Objection	Root cause	Fix
"Address proof not latest"	Utility bill older than two months	Download a current bill; many providers let you fetch it instantly
"Address in documents does not match"	Flat number or building name spelled differently in NOC vs bill vs form	Make all three character-identical
"Objects not clear / regulator approval required"	Object clause mentions lending, payments, trading in securities	Rewrite with a negative covenant excluding regulated activity
"Subscriber details mismatch with PAN database"	Name, DOB or father's name differs from PAN	Correct the form to match PAN exactly, or correct PAN first
"Capital does not tally"	Sum of subscribed shares ≠ paid-up capital stated	Recompute the subscriber sheet
"DIN/DSC mismatch"	DSC not associated, or associated to another DIN	Re-associate on MCA before re-upload
"Professional certification invalid"	Expired CoP, or wrong membership number	Confirm the professional's membership status
"Apostille not valid"	Foreign documents notarised but not apostilled, or apostille older than the accepted window	Redo the attestation chain

Step 4 — What You Receive

On approval, the Registrar issues a Certificate of Incorporation bearing the Corporate Identity Number, and the integrated process delivers PAN, TAN, EPFO and ESIC identifiers at the same time. These documents are the company's identity for the rest of its life; store them where every founder can reach them.

The Certificate of Incorporation

Issued under Section 7(2) of the Companies Act 2013 in **Form INC-11**, digitally signed by the Registrar of Companies. It states the company name, CIN, date of incorporation, PAN and TAN. From the date on this certificate the company is a body corporate with perpetual succession and a common seal (optional since 2015).

Decoding the CIN, character by character

TEXT

```
CIN:  U62011KA2026PTC198745
      |    |    | |   |  |
      |    |    | |   |  +--- 198745 : Registration number allotted by
      |    |    | |   |                the Registrar (6 digits)
      |    |    | |   +------ PTC    : Company classification
      |    |    | |                    PTC = Private Limited Company
      |    |    | |                    PLC = Public Limited Company
      |    |    | |                    OPC = One Person Company
      |    |    | |                    GOI = Government of India company
      |    |    | |                    SGC = State Government company
      |    |    | |                    NPL = Not-for-Profit (Section 8)
      |    |    | |                    FTC = Subsidiary of a Foreign Company
      |    |    | |                    ULL = Unlimited Liability
      |    |    | +---------- 2026   : Year of incorporation
      |    |    +------------ KA     : State code of the ROC
      |    |                           KA Karnataka   MH Maharashtra
      |    |                           DL Delhi       TN Tamil Nadu
      |    |                           TG Telangana   GJ Gujarat
      |    |                           UP Uttar Pradesh  WB West Bengal
      |    +----------------- 62011  : NIC-2008 industry code
      |                              62011 = Computer programming
      +---------------------- U      : Listing status
                                       U = Unlisted
                                       L = Listed on a stock exchange

So U62011KA2026PTC198745 reads:
  An UNLISTED company, in COMPUTER PROGRAMMING, registered in
  KARNATAKA, in 2026, as a PRIVATE LIMITED COMPANY, registration
  number 198745.

An LLP has a different identifier: LLPIN, format AAA-1234.
```

Where the CIN must appear

Section 12(3)(c) requires the CIN, along with the company's name, registered office address, telephone number, email, website and (if any) fax number, to be printed on **all business letters, billheads, letter papers, notices and other official publications**. Penalty for default under Section 12(8) is ₹1,000 per day up to ₹1,00,000. Put it in your invoice template and email footer on day one.

PAN and TAN

	PAN	TAN
Full form	Permanent Account Number	Tax Deduction and Collection Account Number
Format	AAACN1234F (10 chars). The 4th character is **C** for Company, **P** for individual, **F** for firm/LLP, **T** for trust, **A** for AOP	BLRN12345C (10 chars) — first 4 letters are the jurisdiction/deductor code
Used for	All income tax filings, bank account, GST registration, every invoice above thresholds	Depositing TDS, filing 24Q/26Q/27Q, issuing Form 16/16A
Issued by	Income Tax Department via NSDL/Protean, through SPICe+	Same
Physical card	Despatched to the registered office; the e-PAN PDF arrives by email immediately	No card; allotment letter only

Realistic timeline

Stage	Best case	Typical	Worst case	What drags it
Gather documents from all founders	1 day	3–5 days	3 weeks	One founder abroad; missing utility bill; landlord NOC
DSC issuance (all founders)	1 day	2–4 days	2 weeks	Video KYC rejection; foreign national apostille
Name approval (SPICe+ Part A)	1 day	2–5 days	3 weeks	Rejection and resubmission cycles
Prepare and file Part B + INC-33/34/35	1 day	2–4 days	1 week	Object clause drafting; attachment corrections
ROC scrutiny and approval	1 day	3–7 days	3 weeks	Resubmission for address or object queries
PAN/TAN delivery	Same day as CoI	1–2 days	1 week	Rare system delays
Bank current account opening	2 days	5–10 days	4 weeks	Branch KYC, physical verification, compliance team queries
End to end	**~7 days**	**12–20 days**	**8+ weeks**	—

Total cost to incorporate a Private Limited Company

TEXT

WORKED COST SHEET — 2-founder Pvt Ltd, Karnataka, early 2026
Authorised capital Rs 10,00,000 / paid-up Rs 1,00,000

GOVERNMENT AND STATUTORY	
SPICe+ Part A name reservation	1,000
SPICe+ Part B incorporation fee (≤ Rs 15L auth.)	0
Stamp duty on MoA (Karnataka)	1,000
Stamp duty on AoA (Rs 500 per Rs 10L auth.)	500
Stamp duty on INC-32	20
PAN	66
TAN	65
Sub-total	2,651
DIGITAL SIGNATURES	
Class 3 DSC x 2 founders @ Rs 1,500 (2-year)	3,000
(Professional's own DSC - their cost, not yours)	0
Sub-total	3,000
PROFESSIONAL FEES (market range Rs 8,000 - 20,000)	
CA/CS end-to-end incorporation	12,000
Sub-total	12,000
POST-INCORPORATION IMMEDIATE	
INC-20A filing fee	200
ADT-1 filing fee	300
Share certificate stamp duty (state-variable, typically 0.005% - 0.1% of consideration)	100
Rubber stamps (common seal optional)	600
Professional fee for first board meeting, minutes, registers, share certificates	5,000
Sub-total	6,200
OPTIONAL BUT PRACTICALLY NECESSARY	
Trademark TM-A, 1 class, startup/MSME rate	4,500
Bank current account minimum balance (blocked, not spent) - varies Rs 10,000 to Rs 1,00,000	25,000
Accounting software annual (Zoho Books / Tally)	6,000
Sub-total	35,500
CASH OUT (excluding blocked bank balance)	34,351
CASH OUT (including Rs 25,000 bank balance)	59,351

```
Compare: an LLP in the same state lands around Rs 14,000 – 18,000
A sole proprietorship with GST + Udyam lands around Rs 3,000 – 6,000
```

Step 5 — The First 90 Days After Incorporation

Incorporation is the start of the obligations, not the end. Five statutory deadlines bite within the first six months, and missing them carries penalties that dwarf the incorporation cost. The most dangerous is INC-20A: miss it and the company cannot legally commence business, and the Registrar may strike it off.

The first-90-days deadline map



Five statutory clocks start on the date printed on your Certificate of Incorporation. INC-20A is the one that can kill the company.

Opening the current account

1. **Pick the bank before you need it**
   Private banks (HDFC, ICICI, Axis, Kotak, IDFC First, RBL) are faster and have better APIs; public sector banks (SBI, BoB) have lower minimum balances and are better if you will deal with government customers. If you will receive foreign currency, confirm the branch is **AD Category-I** authorised and ask explicitly how they issue FIRC/e-BRC.

2. **Documents the bank will demand**

Certificate of Incorporation; MoA and AoA; PAN of the company; board resolution for opening the account and the operating mandate; KYC of all directors (PAN + Aadhaar + photo); KYC of beneficial owners holding above the threshold (commonly 10% for companies under the PMLA rules); proof of registered office; GST certificate if held; and often a specimen signature card.

3 **Board resolution**

Must name the bank, the branch, the account type, the authorised signatories and the mode of operation (singly / jointly / any two).

4 **Branch verification**

Many banks physically visit the registered office. Make sure a nameboard exists and someone is present.

5 **Minimum balance**

Ranges from ₹10,000 to ₹1,00,000 average monthly/quarterly balance. This is blocked working capital — negotiate it, and read the charge schedule for cash deposits, NEFT/RTGS, and forex conversion spreads.

6 **Set up the payment stack**

Payment gateway (Razorpay, Cashfree, PayU) if you take Indian card/UPI payments; a cross-border collection account (or your bank's EEFC facility) for foreign receipts.

TEXT

BOARD RESOLUTION — OPENING OF BANK ACCOUNT

CERTIFIED TRUE COPY OF THE RESOLUTION PASSED AT THE FIRST MEETING OF THE BOARD OF DIRECTORS OF KAVERI DATA SYSTEMS PRIVATE LIMITED HELD ON FRIDAY, 10 APRIL 2026 AT 11:00 A.M. AT THE REGISTERED OFFICE OF THE COMPANY AT [FULL ADDRESS]

"RESOLVED THAT a Current Account be opened in the name of the Company, Kaveri Data Systems Private Limited, with HDFC Bank Limited, Indiranagar Branch, Bengaluru, and that the said Bank be and is hereby authorised to honour cheques, bills of exchange and promissory notes drawn, accepted or made on behalf of the Company.

RESOLVED FURTHER THAT the said account shall be operated by Ms. Kavya Raghavan (DIN: 01234567) and Mr. Arjun Menon (DIN: 07654321), JOINTLY for transactions exceeding Rs 2,00,000 (Rupees Two Lakh only) and SINGLY for transactions up to Rs 2,00,000.

RESOLVED FURTHER THAT the Bank be and is hereby authorised to provide internet banking, corporate debit card, and payment gateway settlement facilities to the Company.

RESOLVED FURTHER THAT Ms. Kavya Raghavan be and is hereby authorised to sign and submit all forms, documents, declarations and agreements required by the Bank, and to do all such acts as may be necessary to give effect to this resolution."

For Kaveri Data Systems Private Limited

_____

Kavya Raghavan
Director
DIN: 01234567
Date: 10 April 2026
Place: Bengaluru

Depositing the subscription money

This is not optional and it is not a formality

Each subscriber must deposit the **exact amount** they subscribed for, **from their own bank account**, into the company's current account. If Founder A subscribed to 5,100 shares of ₹10, exactly ₹51,000 must move from Founder A's personal account to the company's account. Do not net it off, do not have one founder pay for both, do not pay in cash. The bank statement showing these credits is the **mandatory attachment** to Form INC-20A. Auditors, investors and the ROC all check it.

Form INC-20A — Declaration of Commencement of Business

Attribute	Detail
Statute	Section 10A, Companies Act 2013 (inserted by the Companies (Amendment) Ordinance 2018)
Deadline	**Within 180 days** of the date of incorporation
Who files	A director, certified by a practising CA/CS/CMA
What it declares	That every subscriber has paid the value of shares agreed to be taken, and that the registered office has been verified (INC-22, where not filed with SPICe+)
Attachment	Bank statement or payment proof showing subscription money received
Fee	₹200 for paid-up capital below ₹1,00,000; slab-based above (indicative)
Penalty for default	**₹50,000 on the company** and **₹1,000 per day on every officer in default, up to ₹1,00,000**
Worst consequence	The Registrar may initiate action to **strike off the company** under Section 248(1)(d) if the declaration is not filed within 180 days

Until INC-20A is filed, the company cannot legally commence business or exercise borrowing powers

Every invoice you raise, every contract you sign and every loan you take before filing is exposed to challenge. This is the single most commonly missed post-incorporation filing among first-time founders. Diarise it on day one. Position stated as at FY 2025-26 — confirm the current deadline and penalty on **mca.gov.in**.

First board meeting — within 30 days

Section 173(1) requires the first board meeting within **30 days** of incorporation. At least seven days' notice in writing to every director, unless all directors consent to shorter notice. Minimum quorum for a private company is two directors or one-third of total strength, whichever is higher (Section 174).

STANDARD FIRST-BOARD-MEETING AGENDA

- ☐ Grant leave of absence, if any, and elect a chairman for the meeting
- ☐ Take note of the Certificate of Incorporation, CIN, PAN and TAN
- ☐ Take on record the MoA and AoA as registered
- ☐ Note the appointment of first directors and take **Form MBP-1** (disclosure of interest, Section 184) and **Form DIR-8** (non-disqualification, Section 164(2)) from each director
- ☐ Appoint the **first statutory auditor** under Section 139(6) and authorise filing of ADT-1
- ☐ Approve the registered office and authorise filing of INC-22 if not already done
- ☐ Approve opening of the bank account and the operating mandate
- ☐ Authorise allotment of subscription shares and issue of share certificates
- ☐ Adopt the common seal, if the company chooses to have one
- ☐ Approve the letterhead, website and name board bearing CIN as required by Section 12(3)
- ☐ Fix the **financial year** (1 April to 31 March — Section 2(41); a different period requires NCLT approval)
- ☐ Authorise directors to obtain GST, Udyam, Shops & Establishment, Professional Tax and IEC registrations as applicable
- ☐ Note the statutory registers to be maintained and authorise their opening
- ☐ Any other business with the chairman's permission

First auditor — Section 139(6)

Item	Rule
Who appoints	The **Board of Directors**, within 30 days of the date of registration
If the board fails	Members must appoint within 90 days at an extraordinary general meeting
Tenure of first auditor	Until the conclusion of the **first Annual General Meeting**
Who is eligible	A Chartered Accountant in practice or a firm of CAs; subject to disqualifications in Section 141 (cannot be an officer or employee, cannot hold securities in the company, cannot be indebted beyond the prescribed limit)
Filing	**Form ADT-1** within 15 days of the board meeting. Strictly, Rule 4(2) of the Companies (Audit and Auditors) Rules requires ADT-1 for appointments under Section 139(1); for the first auditor under 139(6) many practitioners file it anyway as best practice — **take your CS's view**
Written consent	Obtain the auditor's consent and a certificate under Section 139(1) read with Rule 4 before appointment

⚠ **A statutory audit is mandatory from year one, at any turnover**

Unlike a tax audit (which depends on turnover under Section 44AB of the Income-tax Act), the Companies Act requires every company — including one with zero revenue — to have its accounts audited annually by a Chartered Accountant. Budget ₹20,000–₹50,000 a year for a small company. This cost does not exist for a proprietorship or a small LLP.

Share certificates and stamping

1. **Allot the subscription shares**

   Technically subscribers become members on incorporation (Section 10A context aside), so the board *records* the subscription rather than passing a fresh allotment resolution. No Form PAS-3 is required for subscription shares — PAS-3 applies to subsequent allotments.

2. **Issue certificates within 2 months**

   Section 56(4)(a): share certificates must be delivered within **two months** from the date of incorporation for subscribers.

3. **Use Form SH-1**

The prescribed certificate format, signed by two directors (or one director and the company secretary), bearing the common seal if the company has one.

4

Pay share transfer/issue stamp duty

Since July 2020, stamp duty on issue of securities is governed by the amended Indian Stamp Act with a uniform rate (indicatively **0.005% of the consideration on issue**) collected through the depository for demat shares, or by state stamping for physical shares. Rates and the collection mechanism differ for physical certificates — **confirm with your CS for your state**.

5

Record in the Register of Members (Form MGT-1)

Maintained under Section 88.

Unstamped share certificates are a diligence red flag

Every Series A due-diligence checklist asks for stamped share certificates and the Register of Members. Founders who skipped stamping in year one spend lakhs on rectification and penalty later, under time pressure, while a term sheet is live. Pay the hundred rupees now.

Statutory registers and minute books

Register	Section	Form	Who must maintain
Register of Members	88(1)(a)	MGT-1	Every company
Register of Debenture-holders / other security holders	88(1)(b),(c)	MGT-2	If such securities exist
Register of Directors and Key Managerial Personnel and their shareholding	170	—	Every company
Register of Charges	85	CHG-7	Every company
Register of Contracts in which directors are interested	189	MBP-4	Every company
Register of Loans, Guarantees, Securities and Investments	186(9)	MBP-2	Every company making such
Register of Renewed and Duplicate Share Certificates	Rule 6, Share Capital Rules	SH-2	Every company
Register of Sweat Equity Shares	Rule 8	SH-3	If issued
Register of ESOP	Rule 12	SH-6	If ESOP granted
Register of Buy-back	Rule 17	SH-10	If buy-back done
Register of Significant Beneficial Owners	90	BEN-3	Every company
Minutes of Board Meetings	118	—	Every company — bound, serially numbered, signed by the chairman
Minutes of General Meetings	118	—	Every company

✦ **Practical approach to registers**

Buy pre-printed statutory register books from a legal stationer (₹500–₹1,500 for the set), or maintain them in electronic form under Rule 27 of the Companies (Management and Administration) Rules — electronic maintenance is permitted but the records must be capable of being displayed in legible form and must be backed up. Whichever you choose, the minute book must be bound and signed; loose-leaf minutes must be bound periodically with pages serially numbered.

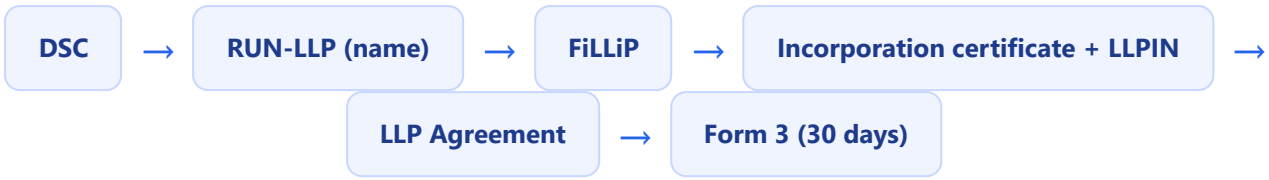
Letterhead, signage and the common seal

- ☐ **Name board** — Section 12(3)(a): paint or affix the company's name and registered office address outside every office, in legible letters, in English and in the local language
- ☐ **Letterhead and invoices** — Section 12(3)(c): name, registered office address, CIN, telephone number, email, and website if any
- ☐ **Website** — Rule 27 of the Companies (Incorporation) Rules requires the same particulars on the company website landing page
- ☐ **Common seal** — **optional** since the Companies (Amendment) Act 2015. If the company has no seal, documents are executed by two directors, or by a director and the company secretary. Decide at the first board meeting and be consistent
- ☐ **Rubber stamps** — not a legal requirement, but banks and government offices will ask for a "company stamp" constantly. Get a round stamp with the name and CIN and a rectangular authorised-signatory stamp

Registering an LLP Instead

An LLP gives you a body corporate with limited liability and perpetual succession, at roughly half the ongoing cost of a Private Limited Company and with no mandatory audit below the thresholds. For a bootstrapped services firm with two or three partners and no intention of raising equity, it is frequently the correct answer — and it is the structure most Indian engineers who go independent should seriously consider before defaulting to a Pvt Ltd.

The LLP process



Step	Form	What happens	Fee (indicative, FY 2025-26)	Time
1	—	Class 3 DSC for all designated partners	₹1,500 each	1–3 days
2	**RUN-LLP**	Reserve the LLP name; 2 proposed names; same Rule 8 naming restrictions apply	₹200	1–5 days
3	**FiLLiP**	Form for incorporation of LLP — allots DPIN for up to 2 designated partners who do not already have DIN/DPIN, and incorporates the LLP. Includes address proof, consent of partners, subscriber sheet	Slab by contribution: ₹500 up to ₹1 lakh; ₹2,000 up to ₹5 lakh; ₹4,000 up to ₹10 lakh; ₹5,000 above	3–10 days
4	—	Certificate of Incorporation with **LLPIN** (format AAA-1234), PAN and TAN	₹131 approx.	Same day
5	**Form 3**	File the executed LLP Agreement within **30 days** of incorporation	Same slab as FiLLiP	—

⚠ **Form 3's 30-day deadline carries a ₹100/day penalty with no cap**
Section 23(2) of the LLP Act 2008 requires the LLP Agreement to be filed in Form 3 within 30 days of incorporation. Late filing attracts additional fee of ₹100 per day without an upper limit under Section 69 of the LLP Act. LLPs that forgot this for three years have faced six-figure penalties. Figures as at FY 2025-26 — verify on **mca.gov.in**.

LLP Agreement — what must be in it

If you do not file an LLP Agreement, the **First Schedule to the LLP Act 2008** applies by default. The default rules are almost certainly not what you want: they provide for equal profit sharing regardless of contribution, equal management rights, and unanimous consent for admitting a partner. Draft your own.

- ☐ Name, registered office, and business of the LLP
- ☐ Names of partners and designated partners, with DPIN
- ☐ **Contribution** by each partner — in money, property, or services (if services, the valuation must be certified)
- ☐ **Profit-sharing ratio** — need not match contribution ratio, and this is a key advantage over a company
- ☐ **Remuneration and interest on capital** to partners — drafted to fit within Section 40(b) of the Income-tax Act limits so it is deductible
- ☐ Management: who decides what; which matters need unanimous consent
- ☐ Admission, resignation, retirement, expulsion and death of a partner
- ☐ Rights on dissolution and distribution of surplus
- ☐ Indemnity, confidentiality, non-solicit
- ☐ Dispute resolution — arbitration clause
- ☐ Amendment procedure — and remember every amendment needs a fresh Form 3 within 30 days

TEXT

```
SECTION 40(b) PARTNER REMUNERATION — why the LLP Agreement wording matters

For remuneration to a working partner to be DEDUCTIBLE to the LLP,
Section 40(b) of the Income-tax Act, 1961 requires that:
  (a) the partner is a WORKING partner (actively engaged in the
      conduct of the business), AND
  (b) the remuneration is AUTHORISED BY and IN ACCORDANCE WITH
      the LLP Agreement, AND
  (c) the agreement provides for it from a date NOT EARLIER than
      the date of the agreement itself, AND
  (d) it does not exceed the statutory ceiling.

DRAFTING TRAP: if your agreement says "remuneration as may be
mutually decided", the deduction can be disallowed because the
amount is not "authorised by" the agreement. Instead write:

  "Each Working Partner shall be entitled to remuneration
   computed in accordance with the maximum amount allowable
   under Section 40(b)(v) of the Income-tax Act, 1961, as
   amended from time to time, to be allocated between the
   Working Partners in the ratio of their profit-sharing
   entitlement, with effect from 1 April 2026."

Also note: an LLP CANNOT use Section 44AD/44ADA presumptive
taxation. Its income is computed normally, at 30% plus surcharge
and cess, after deducting partner remuneration and interest.
Verify current ceilings and rates on incometax.gov.in; the
Income-tax Act, 2025 takes effect 1 April 2026.
```

LLP vs Pvt Ltd — the practical differences in process and cost

Dimension	LLP	Private Limited
Name reservation form	RUN-LLP (₹200)	SPICe+ Part A (₹1,000)
Incorporation form	FiLLiP	SPICe+ Part B + INC-33 + INC-34 + INC-35
Constitutional document	LLP Agreement, filed separately in Form 3 within 30 days	MoA + AoA, filed with incorporation
Stamp duty	On the LLP Agreement, per state schedule — often based on contribution amount	On MoA + AoA, per state schedule — often based on authorised capital
Typical total setup cost	₹8,000–₹16,000	₹20,000–₹35,000
Annual ROC forms	**Form 11** (Annual Return, by 30 May) + **Form 8** (Statement of Account & Solvency, by 30 October)	AOC-4, MGT-7, ADT-1, DIR-3 KYC, DPT-3, MSME-1, BEN-2
Audit	Only if turnover exceeds ₹40 lakh (₹4,000,000) or contribution exceeds ₹25 lakh (₹2,500,000)	**Always**
Board/general meetings	None required by statute	Minimum 4 board meetings a year (2 for a small company) + AGM
Typical annual compliance cost	₹18,000–₹45,000	₹45,000–₹1,20,000
Designated partner KYC	**DIR-3 KYC** annually by 30 September	Same
Presumptive tax	Not available	Not available
Dividend/profit distribution	Profit share to partners is **exempt** in the partner's hands under Section 10(2A) — no second layer of tax	Dividend is **taxable in the shareholder's hands** at slab rate, with TDS under Section 194

✓ **The LLP's underrated tax advantage**

In a company, profits are taxed at ~25.17% (Section 115BAA) and then dividends are taxed again in the shareholder's hands at up to 30%+ — an effective combined burden that can exceed 45% for a high-slab founder. In an LLP, profits are taxed once at 30%+cess at the LLP level, and the profit share distributed to partners is exempt under Section 10(2A). For an owner-operated services business that distributes most of its profit, the LLP is frequently the lower-tax structure. Run the numbers with your CA for your actual profile, and re-verify against the Income-tax Act, 2025 position.

Registering a Sole Proprietorship or Partnership Firm

There is no such thing as "registering a sole proprietorship" in the way you register a company. There is no registry, no certificate and no central authority. What people mean by "proprietorship registration" is assembling a set of unrelated registrations — usually GST, Udyam, Shops & Establishment and a bank current account — that collectively prove to third parties that the business exists.

What "registering" a proprietorship actually means

Registration	Authority	Cost	Time	Why you want it
Udyam / MSME	Ministry of MSME, udyamregistration.gov.in	**Free**	10 minutes	The easiest "proof of business" document; unlocks Section 43B(h) paymen protection and MSME scheme
GST registration	GSTN, gst.gov.in	Free (government); ₹1,000–₹3,000 if a CA files it	3–15 days	Mandatory above thresho required for B2 credibility and for exporting services under LUT
Shops & Establishment	State labour department	₹100–₹5,000 by state and headcount	1–15 days	Required if you have a commercial premises or employees; accepted by banks as business proof
Professional Tax (enrolment + registration)	State commercial tax department	₹0–₹2,500/year	1–7 days	Mandatory in Maharashtra, Karnataka, Wes Bengal, Tamil Nadu, Telangana, Gujarat, Madhy Pradesh, Andhr Pradesh and others
Bank current account	Your bank	Minimum balance ₹5,000–	2–10 days	Separates business and

		₹50,000		personal mone banks require **two** business-proof documents
Import-Export Code	DGFT, dgft.gov.in	₹500	1–3 days	Only if you import or expo **goods**. Not required for export of services where payment is in foreign exchange and you have a GSTIN — but some banks sti ask for it
Trade licence	Municipal corporation	₹500–₹10,000	7–30 days	Required for physical commercial premises in many municipalities; rarely needed for a home-based software consultant

✦ **The minimum viable proprietorship stack for a software consultant**
PAN (you already have it) + Udyam (free, 10 minutes) + GST registration + a current account. That is enough to invoice Indian and foreign clients, claim input tax credit, file an LUT for zero-rated exports, and satisfy any payment gateway's KYC. Add Shops & Establishment and Professional Tax when you hire your first employee. Position as at FY 2025-26.

The Partnership Firm

Governed by the **Indian Partnership Act, 1932**. A partnership comes into existence by agreement — the deed — and registration with the Registrar of Firms is **optional**. But the consequence of not registering is severe.

Section 69 — an unregistered firm cannot sue

Section 69 of the Indian Partnership Act 1932 bars an unregistered firm (or a partner of it) from filing a suit to enforce a contractual right against a third party, and bars a partner from suing the firm or co-partners to enforce a right under the partnership. You can be sued; you cannot sue. If a client refuses to pay a ₹15 lakh invoice, an unregistered firm has no civil remedy to recover it on the contract. Register with the Registrar of Firms of your state.

PARTNERSHIP DEED — MANDATORY CONTENTS

- ☐ Name of the firm and its principal place of business
- ☐ Names, addresses and ages of all partners
- ☐ Date of commencement and duration (at will, or for a fixed term, or for a particular venture)
- ☐ Nature of business
- ☐ Capital contribution by each partner, and whether interest is payable on capital (and at what rate, within the Section 40(b) 12% p.a. ceiling for deductibility)
- ☐ **Profit and loss sharing ratio**
- ☐ Remuneration to working partners — drafted to satisfy Section 40(b)
- ☐ Drawing rights and limits
- ☐ Duties, powers and restrictions on each partner
- ☐ Bank account operation and signing authority
- ☐ Admission of a new partner, retirement, expulsion, death and the consequences for continuity
- ☐ Accounts, audit and the financial year
- ☐ Dissolution procedure and distribution of assets
- ☐ Arbitration clause
- ☐ Executed on stamp paper of the value prescribed by your state and signed by all partners before witnesses

REGISTRATION WITH THE REGISTRAR OF FIRMS

1. **Execute the deed on stamp paper**
   Stamp value is state-specific — commonly ₹500 to ₹2,000, sometimes scaled by capital. Sign before two witnesses.

2. **Notarise**
   Not legally mandatory everywhere, but universally expected by banks.

3. **File Form 1 (Statement) with the Registrar of Firms**
   Prescribed under Section 58 of the Indian Partnership Act. States the firm name, principal place, other places of business, date of joining of each partner, names and addresses of partners, and duration.

4. **Pay the fee and attach documents**
   Original/certified deed, affidavit, address proof of the place of business, PAN of the firm (apply separately via Form 49A if not already obtained), ID proofs of partners. Fees vary by state — typically ₹500 to ₹3,000.

5. **Receive the Certificate of Registration**
   Timeline ranges from a week (online states like Maharashtra and Karnataka) to several months in states where the process is still physical.

6. **Apply for firm PAN and TAN**
   Form 49A for PAN with the deed as proof of constitution.

7. **Open a current account**
   Deed + registration certificate + firm PAN + partner KYC + a partnership letter from all partners.

Sector and Activity Registrations You May Need

Beyond the entity itself, a stack of activity-based registrations may apply depending on what you sell, where you sell it, who you employ, and whether money crosses a border. Most tech businesses need three or four; almost none need all of them. Work through the applicability table and ignore the rest.

Does this apply to me?

Registration	Authority / portal	Trigger	Applies to a software consultant?	Applies to a SaaS product co?
GST	gst.gov.in	Turnover threshold, inter-State supply of goods, RCM liability, e-commerce supply, exports	Usually yes	Yes
Udyam / MSME	udyamregistration.gov.in	Voluntary; eligibility by investment and turnover	Yes — free	Yes
Shops & Establishment	State labour department	Commercial establishment or employment of persons; threshold varies by state	If you have premises/staff	Yes
Professional Tax	State commercial tax dept.	Operating in a PT state; employing salaried staff	State-dependent	State-dependent
EPF	epfindia.gov.in	20 or more employees (verify under Code on Social Security 2020)	No	At scale
ESIC	esic.gov.in	10 or more employees (20 in some states) drawing wages up to the ceiling	No	At scale

Import-Export Code (IEC)	dgft.gov.in	Import or export of **goods**; also used by some banks for service exports	Sometimes requested	Sometimes requested
STPI / Non-STPI registration	stpi.in	Export of software/IT services; non-STPI registration enables SOFTEX filing	Check with your AD bank	Check
FSSAI licence	fssai.gov.in	Any food business — including a food-delivery app that handles food	No	No
Trade licence	Municipal corporation	Operating a commercial establishment within municipal limits	Usually no	If you have an office
BIS / WPC / TEC	bis.gov.in / wpc.gov.in	Manufacturing or importing electronics, wireless devices, telecom equipment	No	No
RBI authorisation	rbi.org.in	Payment aggregator, prepaid instrument, NBFC lending, account aggregator	No	If fintech
SEBI registration	sebi.gov.in	Investment advice, research analysis, portfolio	No	If wealthtech

		management, AIF		
DPDP compliance	MeitY	Processing of digital personal data — almost every SaaS product	Likely	Yes
POSH Internal Committee	State / District Officer	10 or more employees	No	At 10 staff

⚠ **DPDP Act 2023 — Rules notified late 2025, phased deadlines**
The Digital Personal Data Protection Act, 2023 and the Rules notified in late 2025 impose obligations on any "Data Fiduciary" processing digital personal data: consent notices, purpose limitation, breach notification to the Data Protection Board, data-principal rights (access, correction, erasure, grievance redressal), and additional obligations for Significant Data Fiduciaries. Compliance is being phased in. Penalties under the Schedule are substantial — up to ₹250 crore (₹2,500,000,000) for failure to take reasonable security safeguards. **If your product stores user data, confirm which phase binds you and by when, with counsel.** Source: MeitY.

STPI and non-STPI for software exports

Option	What it is	Who needs it	Obligation
Non-STPI registration	Registration with Software Technology Parks of India purely to file **SOFTEX** forms, which certify the value of software exported	Exporters of software and IT services whose banks require SOFTEX certification for realisation	File SOFTEX monthly/periodically; file Annual Performance Report; nominal annual service charges scaled by export turnover
STPI unit	A bonded unit under the STP Scheme, historically with duty-free import and (expired) tax holidays	Hardware-intensive exporters; the income tax benefit under Section 10A/10B has long since sunset	Heavier: customs bonding, periodic returns, physical inspection
Neither	Export invoices realised through an AD bank with an e-BRC issued directly	Many small services exporters, especially those invoicing under ₹25,000 per transaction or using modern banking channels	Depends entirely on your bank's practice

✦ **Ask your bank before you register with STPI**
SOFTEX requirements are driven by RBI's Master Direction on Export of Goods and Services and your AD bank's interpretation of it. Some banks insist on SOFTEX for every software export; others accept simplified declarations below a value threshold. One phone call to your relationship manager saves a pointless registration and annual fee. Verify the current RBI position on **rbi.org.in**.

Udyam / MSME Registration in Depth

Udyam registration is free, takes ten minutes, requires only your Aadhaar and PAN, and gives you a permanent registration number that is accepted everywhere as proof that your business exists. It is the single highest return-on-effort registration available to a small Indian business. There is no reason for an eligible business not to have it.

Eligibility — the composite criteria

> ⚠ **Limits revised — figures below are as at FY 2025-26; verify on udyamregistration.gov.in**
> MSME classification uses a **composite** criterion: a unit must satisfy **both** the investment limit and the turnover limit for its category. The limits were revised upward with effect from FY 2025-26. Always confirm the current notification before relying on a classification.

Category	Investment in plant, machinery or equipment	Annual turnover
Micro	Up to ₹2.5 crore (₹25,000,000)	Up to ₹10 crore (₹100,000,000)
Small	Up to ₹25 crore (₹250,000,000)	Up to ₹100 crore (₹1,000,000,000)
Medium	Up to ₹125 crore (₹1,250,000,000)	Up to ₹500 crore (₹5,000,000,000)

Investment and turnover are taken from the **linked ITR and GST returns** — the Udyam system pulls them automatically from PAN and GSTIN. You cannot under-declare; the classification updates itself each year. For a software business, "plant and machinery or equipment" means your computers, servers and office equipment (excluding land, buildings, furniture and fittings per the notification) — which means almost every software startup is comfortably **Micro**.

The registration process — free, online, ten minutes

1. **Go to the official portal**
   Only **udyamregistration.gov.in**. Dozens of lookalike domains charge ₹1,500–₹5,000 for a free government service. The official site displays a prominent warning about this.

2. **Choose your route**
   "For New Entrepreneurs who are not Registered yet as MSME" (first time), or migration from the old Udyog Aadhaar.

3. **Enter Aadhaar and name**
   For a proprietorship, the **proprietor's** Aadhaar. For a partnership, the

managing partner's
. For a company, LLP, trust or co-operative, the Aadhaar of the
authorised signatory
, and the organisation's PAN is also required.

4 **Validate with OTP**
Sent to the Aadhaar-linked mobile.

5 **Enter PAN and validate**
The system calls the Income Tax database. For a company or LLP, the entity PAN.

6 **Fill the enterprise details**
Name of enterprise, type of organisation, address, date of commencement, bank account and IFSC, NIC code for your activities (you can add multiple), number of persons employed, and investment and turnover figures (auto-fetched where returns exist).

7 **Submit and receive the Udyam Registration Number**
Format: `UDYAM-KA-03-0012345`. The e-certificate is downloadable immediately and emailed to you. It has
no expiry
and
no renewal fee
.

✕ **Udyam registration is 100% free. Always.**
There is no government fee, no processing charge, no "consultant fee" payable to the portal, and no renewal. If a website asks you to pay for Udyam registration, it is a private reseller. The Ministry of MSME has repeatedly issued public notices about this. The only official portal is **udyamregistration.gov.in**.

What Udyam actually gets you

1. SECTION 43B(H) — THE 45-DAY PAYMENT PROTECTION

✓ **This is the most valuable thing on the list for a small vendor**
Section 43B(h) of the Income-tax Act, 1961 provides that a payment due to a **micro or small enterprise** is deductible to the buyer only in the year of **actual payment**, unless paid within the time limit under Section 15 of the MSMED Act 2006 — which is **45 days** where there is a written agreement, or **15 days** where there is not. The practical effect: a large customer that delays your invoice beyond 45 days loses the tax deduction for that expense in the year it was incurred. Enterprise finance teams now actively chase MSME vendor payments to avoid this. **Put your Udyam number on every invoice.** Position as at FY 2025-26; confirm the treatment under the Income-tax Act, 2025.

2. MSME SAMADHAAN — DELAYED PAYMENT RECOVERY

Under Sections 15–18 of the MSMED Act 2006, a micro or small enterprise can file an online application on the **MSME Samadhaan** portal against a buyer who has not paid within 45 days. The matter goes to the Micro and Small Enterprise Facilitation Council (MSEFC) of the state, which conciliates and, failing that, arbitrates. The buyer is liable for **compound interest at three times the RBI bank rate** on the delayed amount. Filing is free, and the mere act of filing frequently produces payment.

3. CGTMSE — COLLATERAL-FREE CREDIT

The Credit Guarantee Fund Trust for Micro and Small Enterprises guarantees a portion of a bank's exposure to an MSE, which allows the bank to lend **without collateral or third-party guarantee**. Coverage limits and guarantee fee percentages are revised periodically — verify the current scheme on cgtmse.in. For a services business with no assets to pledge, this is often the only route to a term loan.

4. OTHER BENEFITS

Benefit	Detail
Public procurement preference	Under the Public Procurement Policy for MSEs, central ministries, departments and PSUs must source a prescribed percentage of annual procurement from MSEs, with sub-targets for SC/ST and women-owned enterprises
Tender exemptions	Exemption from Earnest Money Deposit and from prior turnover/experience criteria in many government tenders; free registration on GeM
Trademark and patent fee rebate	Reduced government fees for TM-A and patent filing for MSMEs (and separately for DPIIT-recognised startups)
Interest subvention and state subsidies	Various central and state schemes offer interest subvention, capital subsidy, electricity concessions and stamp duty reimbursement to registered MSMEs — entirely state-dependent
Priority sector lending	Bank lending to MSEs counts toward priority sector targets, which improves your odds of getting a loan approved at all
Bank/gateway KYC	The Udyam certificate is widely accepted as business proof for opening current accounts and onboarding with payment gateways

The myths

MYTH: "UDYAM COSTS MONEY"

It is free. Any charge is a private intermediary's fee for a form you can fill in ten minutes.

MYTH: "YOU NEED A GST NUMBER FIRST"

Not if you are exempt from GST registration. The portal has an option to declare GST exemption. PAN is mandatory; GSTIN is required only where you are liable to be registered.

MYTH: "IT EXPIRES ANNUALLY"

There is no expiry and no renewal. Classification is updated automatically from your ITR and GST data.

MYTH: "ONLY MANUFACTURERS QUALIFY"

Service enterprises have been explicitly covered since 2020. A two-person software consultancy qualifies as Micro.

MYTH: "IT MAKES YOU LIABLE FOR MORE COMPLIANCE"

Udyam itself imposes no filing obligation. The only ongoing item is updating details if the business changes materially.

MYTH: "A PVT LTD CANNOT REGISTER"

Companies, LLPs, partnerships, proprietorships, trusts, HUFs, societies and co-operatives can all register, subject to the investment and turnover limits.

Startup India and DPIIT Recognition

DPIIT recognition is a certificate issued by the Department for Promotion of Industry and Internal Trade confirming that your entity is a "startup" within the meaning of the Startup India notification. It is free, it is applied for online at startupindia.gov.in, and approval is usually quick. It unlocks self-certification under labour and environment laws, IPR fee rebates, public procurement relaxations and — critically — the ability to **apply** for the Section 80-IAC tax holiday and for government seed funding.

Eligibility criteria

> ⚠ **Criteria as at FY 2025-26 — verify on startupindia.gov.in and the current DPIIT notification**
> DPIIT has revised the Startup India notification several times, including extensions of the eligibility window. Confirm the current age limit, turnover limit and definitions before applying.

Criterion	Requirement	Notes for an engineer-founded company
Entity type	Private Limited Company, Registered Partnership Firm, or LLP	A **sole proprietorship is not eligible**. Neither is an OPC in practice for most benefits.
Age	Not more than **10 years** from the date of incorporation/registration	Counted from the date on the Certificate of Incorporation
Turnover	Annual turnover has not exceeded **₹100 crore** (₹1,000,000,000) in any financial year since incorporation	Rarely binding for early-stage companies
Originality	Must be working towards **innovation, development or improvement** of products, processes or services, **or** be a scalable business model with high potential for employment generation or wealth creation	This is the subjective criterion that actually decides approval
Not formed by splitting up	The entity must not have been formed by splitting up or reconstructing an existing business	A services firm reincorporating to reset the clock will be rejected

The application

1. **Register on startupindia.gov.in**
   Create a user account with email and mobile verification.

2. **Open the DPIIT Recognition application**
   The form is short. You will need: entity name, incorporation/registration number, date, PAN, address, authorised representative details, director/partner details, and the **Certificate of Incorporation or registration**

as a PDF.

3 **Select your industry and sector**

Choose accurately — IT Services, Enterprise Software, AI, Fintech, Deep Tech and so on. This routes your application.

4 **Describe what makes you innovative**

Free-text fields: "What is the problem the startup is solving?", "How does your startup propose to solve this problem?", "What is the uniqueness of your solution?", "How does your startup generate revenue?". These four answers carry the decision. Write them like a product one-pager, not like a mission statement.

5 **Upload supporting material**

A pitch deck, a product video, a website link, patent or trademark filings, awards, letters from customers or incubators, media coverage. Nothing is strictly mandatory beyond the incorporation certificate, but supporting material materially improves outcomes.

6 **Self-certify and submit**

You declare that the information is true. There is **no fee**.

7 **Outcome**

Typically a few days to a few weeks. You either receive a **DPIIT Recognition Certificate** with a recognition number, or a rejection with a reason, or a request for clarification. Rejections can be re-applied for after addressing the reason.

How to write the innovation justification

TEXT

```
WEAK ANSWER (commonly rejected)
  "We are building a software platform that helps companies manage
   their business better using the latest technologies including
   AI and cloud. Our team has 20 years of combined experience and
   we aim to be a market leader in this space."

  Why it fails: no identified problem, no mechanism, no
  differentiation, no evidence. It is indistinguishable from
  a thousand other applications.

STRONG ANSWER (same company, rewritten)

  Q1. What is the problem the startup is solving?
  "Mid-size Indian logistics operators (fleet size 50-500) reconcile
   fuel card transactions against trip sheets manually. A 200-truck
   operator spends 3 full-time clerks and ~11 days a month on this,
   and our 14 pilot customers reported 4-9% of fuel spend lost to
   undetected pilferage and duplicate claims because reconciliation
   happens 30+ days after the transaction."

  Q2. How does your startup propose to solve this problem?
  "We ingest fuel-card transaction feeds from four card issuers and
   GPS telemetry from the three telematics vendors these operators
   already use, and match each transaction to a trip segment within
   4 hours using a spatio-temporal matching model that tolerates the
   15-45 minute clock skew we measured between card terminals and
   GPS units. Exceptions are surfaced to a supervisor queue."

  Q3. What is the uniqueness of your solution?
  "Existing fleet-management software in this segment either ignores
   fuel cards entirely or requires manual CSV upload. Our matching
   approach handles the clock-skew and GPS-dropout conditions typical
   of Indian highway routes, which off-the-shelf geofencing fails on;
   we measured 94% auto-match versus 61% for naive geofencing on
   2.1 million historical transactions. Provisional patent
   application 2025/41/XXXXX filed on 12 August 2025."

  Q4. How does your startup generate revenue?
  "SaaS subscription at Rs 180 per truck per month, billed annually.
   Current ARR Rs 34 lakh across 14 paying customers; gross margin
   71%; net revenue retention 118% over the last two quarters."

  Why it works: specific user, quantified pain, named mechanism,
  measured differentiation, evidence of traction, IP filed.
```

The reviewer is reading hundreds of these

Lead with a number. Name the specific customer segment. Describe the technical mechanism in one concrete sentence. Attach evidence. Avoid "revolutionary", "disruptive", "one-stop solution" and "leveraging cutting-edge AI". Applications that read like a measured engineering summary are approved far more often than applications that read like marketing copy.

What DPIIT recognition unlocks

Benefit	What it actually means	Automatic with recognition?
Self-certification under labour and environment laws	For a prescribed period from incorporation, self-certify compliance with a list of labour laws (and environment laws for white-category industries) with no inspection unless a credible complaint is filed	Yes
IPR fee rebates and facilitation	80% rebate on patent filing fees and 50% on trademark fees (indicative — verify), plus a panel of facilitators whose fees are paid by the government	Yes
Faster patent examination	Request for expedited examination available to recognised startups	Yes
Public procurement relaxation	Exemption from prior turnover and prior experience requirements in central government tenders; free GeM Startup Runway listing; EMD exemption	Yes
Faster winding up	Insolvency resolution for a startup as a "fast track corporate person" under the IBC — wound up within a compressed timeline	Yes
Section 80-IAC tax holiday	100% deduction of profits for **3 consecutive years out of the first 10** for an eligible startup	No — separate application to the Inter-Ministerial Board (IMB)
Angel tax relief — Section 56(2)(viib)	Historically, exemption from "angel tax" on share premium above fair market value, on filing a declaration in Form 2	Check current status
Startup India Seed Fund Scheme (SISFS)	Grants up to ₹20 lakh for proof of concept/prototype and up to ₹50 lakh for commercialisation, disbursed through approved incubators	No — apply to incubators
Credit Guarantee Scheme for Startups (CGSS)	Government guarantee enabling collateral-free venture debt and working capital from member lending institutions	No — through lenders

Carry-forward of losses — Section 79	Relaxed shareholding-continuity condition for carrying forward losses despite change in shareholding	Conditions apply

⚠ **Angel tax and Section 56(2)(viib) — confirm the current position**

The treatment of share premium received above fair market value has changed materially in recent Finance Acts, including the extension of the provision to non-resident investors and subsequent relief measures. The position differs between recognised and unrecognised startups and between resident and non-resident investors. **This is a question for your CA before you close a round, not a question to settle from a guide.** Verify on **incometax.gov.in** and with the latest Finance Act.

Section 80-IAC — the tax holiday and the realistic odds

Attribute	Detail
Benefit	100% deduction of profits and gains from an eligible business, for **3 consecutive assessment years out of the first 10** from incorporation — you choose which three
Who approves	The **Inter-Ministerial Board (IMB)** constituted by DPIIT — not an automatic consequence of recognition
Additional eligibility	Incorporated as a Private Limited Company or LLP within the window specified in Section 80-IAC (this date has been extended repeatedly by Finance Acts — **check the current cut-off**); turnover below the prescribed limit; engaged in innovation/development/improvement or a scalable model with high employment or wealth creation potential
Catch 1	MAT/AMT may still apply under Section 115JB, so the "zero tax" outcome is not always zero
Catch 2	You only benefit if you are **profitable**. A loss-making startup gains nothing. Choose the three years deliberately, in your most profitable window within the first ten years
Realistic approval rate	Materially lower than DPIIT recognition itself. The IMB applies the innovation test strictly. Services businesses, reseller models and me-too products are routinely rejected. Deep tech, patented technology and demonstrably novel approaches do best
What strengthens an application	Granted or published patents; peer-reviewed publications; measurable technical benchmarks against incumbents; institutional investor backing; incubation at a recognised incubator; demonstrable revenue growth; employment generated

> **Apply for recognition even if you will not get 80-IAC**
> Recognition itself is free and fast, and the IPR rebates, procurement relaxations and self-certification have real value. Treat 80-IAC as an upside, not the reason to apply. Many founders never apply for recognition because they assume the tax holiday is unlikely, and in doing so forgo ₹30,000–₹50,000 a year of trademark and patent fee savings.

Setting Up Where — State and City Considerations

India is a federal system and a meaningful part of your cost and compliance profile is decided by which state your registered office sits in. Stamp duty, professional tax, Shops & Establishment rules, labour-code state rules, state startup incentives and even GST officer behaviour vary. For a software business the differences are smaller than for a factory, but they are not zero.

What actually varies by state

Variable	Range	Impact on a software business
Stamp duty on MoA/AoA	₹360 (Tamil Nadu) to several thousand (Maharashtra, Gujarat at higher capital)	One-time, small. Not a reason to choose a state
Professional Tax	Not levied at all in Delhi, Haryana, Uttar Pradesh, Rajasthan and others; up to ₹2,500 per person per year in Maharashtra, Karnataka, West Bengal, Tamil Nadu, Telangana, Gujarat, Madhya Pradesh, Andhra Pradesh	Recurring, per employee. At 50 employees in Karnataka this is ₹1.25 lakh a year plus the filing burden
Shops & Establishment	Fee, renewal period and employee thresholds all vary; some states have perpetual registration, others annual renewal	Small recurring cost and one more filing
Labour Code state rules	Each state is notifying its own rules under the four Codes	**Verify current status for your state** — working hours, overtime, leave encashment and contractor rules all flow from these
State startup policy	Karnataka, Kerala, Telangana, Tamil Nadu, Gujarat, Maharashtra, Odisha, Rajasthan and others run startup policies with reimbursements	Can be worth lakhs: patent cost reimbursement, marketing/travel grants, rent subsidy, power tariff concession, stamp duty refund, idea-stage grants
GST administration	Registration scrutiny, physical verification practice and refund processing speed differ by state and even by ward	Real and material for an exporter claiming refunds
Talent and cost	Bengaluru, Hyderabad, Pune, NCR, Chennai, Kochi, Ahmedabad, Indore, Jaipur, Coimbatore	By far the dominant factor. Everything above is noise next to being able to hire

✦ **Do not optimise your registered office for stamp duty**

Choose the state where you and your team will actually live and hire, where your bank branch is, and where you can physically receive a GST officer. A company registered in a state where no founder lives creates persistent practical friction: the ROC jurisdiction, the GST ward, the Shops & Establishment inspector and the professional tax authority are all there, and you are not.

State startup incentives — what to look for

- ☐ **Patent and IP cost reimbursement** — several states reimburse Indian and international patent filing costs up to a ceiling
- ☐ **Idea/prototype grants** — seed grants typically ₹2–₹15 lakh, often routed through state-recognised incubators
- ☐ **Rent and co-working reimbursement** — a percentage of monthly rent for a defined period
- ☐ **Marketing and trade-fair assistance** — reimbursement of booth and travel costs for domestic and international events
- ☐ **Stamp duty and registration fee reimbursement** — for lease deeds of office space
- ☐ **Power tariff concession** — more relevant to hardware and data-centre businesses
- ☐ **State procurement preference** — relaxation of turnover and experience criteria in state tenders
- ☐ **Interest subvention** on term loans
- ☐ **Women/SC/ST founder enhanced benefits** in most state policies

⚠ **State incentive schemes change with each policy cycle**

State startup policies typically run for 4–5 years and are then replaced. Quantum, eligibility and the application window all change. Check the current policy document on the state's startup portal (for example, **startup.karnataka.gov.in**, **startupkerala.gov.in**, **t-hub** and the Telangana IT portal, **startuptn.in**) before counting on any number. Position as at FY 2025-26.

GIFT City, SEZ and STPI — a high-level view

Option	What it is	Who it suits	Reality check
GIFT IFSC (Gujarat International Finance Tec-City, International Financial Services Centre)	A deemed-foreign-jurisdiction financial centre regulated by the IFSCA, with its own tax and FEMA treatment — including tax holidays for IFSC units, no GST on services to offshore clients, and liberalised FEMA treatment	Fund managers, fintech serving offshore clients, global capability centres, aircraft/ship leasing, now also IT/ITES units serving offshore customers	Real benefits, real setup cost and complexity. Minimum space commitments, IFSCA registration, higher professional fees. Only worth it at scale or for financial-services use cases. Verify current IFSCA regulations
SEZ unit (Special Economic Zone)	A unit in a notified SEZ with duty-free imports and (historically) a phased income-tax deduction under Section 10AA	Export-focused IT services at scale	The Section 10AA sunset applies to units commencing after the cut-off date — **verify whether any deduction is still available for a new unit**. SEZ compliance (bonding, Annual Performance Report, Unit Approval Committee) is heavy
STPI unit	Bonded unit under the Software Technology Park scheme	Historically used for the Section 10A/10B holiday, which has sunset	For most new software exporters, **non-STPI registration** for SOFTEX filing is all that is relevant — not an STPI unit
Ordinary domestic company	Registered office anywhere; export of services zero-rated under GST via LUT	**Almost every software startup**	Simplest, cheapest, fully adequate. The zero-rating of service exports under Section 16 of the IGST Act already gives you the main benefit

Foreign Founders, NRIs and Overseas Structures

If any founder is a non-resident, or if the company will have an overseas holding entity, the structure stops being a company-law question and becomes a FEMA question. Get this wrong and you face compounding proceedings with the RBI, blocked funding rounds and failed due diligence. Get it right and it is routine.

The resident director requirement, in practice

✕ **You cannot incorporate an Indian company with only non-resident directors**
Section 149(3) requires at least one director who stayed in India for at least 182 days in the financial year. For a founding team that is entirely overseas, the options are: (a) one founder relocates and establishes residence, (b) you appoint a trusted Indian resident as a director — who then carries genuine statutory liability for the company's defaults under dozens of sections, or (c) you set up a branch office, liaison office or project office instead of a subsidiary, which has its own RBI approval process. Option (b) using a paid nominee director is common and is a real risk for both sides. Verify the current requirement on **mca.gov.in**.

FDI routes

Route	Meaning	Applies to	Reporting
Automatic route	No prior government approval needed; investment can be made and reported after the fact	Most sectors including IT, software, SaaS, e-commerce marketplace (not inventory), professional services — typically 100% FDI permitted	**Form FC-GPR** on the RBI **FIRMS** portal within **30 days** of allotment of shares
Government route	Prior approval of the administrative ministry required through the Foreign Investment Facilitation Portal	Defence above a threshold, broadcasting, print media, multi-brand retail, and **all investment from land-border countries**	Approval first, then FC-GPR
Prohibited	No FDI permitted at all	Lottery, gambling and betting, chit funds, Nidhi companies, real estate business (as defined), trading in Transferable Development Rights, tobacco manufacture	—

⚠ **Press Note 3 of 2020 — the land-border restriction**

DPIIT Press Note 3 (2020) requires **government approval** for any investment by an entity of a country that shares a land border with India, or where the beneficial owner of an investment is situated in or is a citizen of such a country. The land-border countries are China, Pakistan, Bangladesh, Nepal, Bhutan, Myanmar and Afghanistan. The restriction follows **beneficial ownership**, so a Singapore or Mauritius fund with a Chinese LP above the beneficial-ownership threshold can be caught. This single press note has blocked or delayed a large number of Indian startup rounds. **Check beneficial ownership of every investor before you sign a term sheet.** Source: **dpiit.gov.in**. Verify the current text and any amendments.

FDI compliance checklist for a startup taking foreign money

1. **Confirm the sector is on the automatic route**
   Check the consolidated FDI Policy on dpiit.gov.in for your NIC activity.

2. **Run a Press Note 3 beneficial-ownership check**

On the investor and, where it is a fund, on its material LPs. Get a written representation from the investor.

3 **Obtain the investor's KYC**
Through the investor's overseas bank to your AD bank.

4 **Receive the funds through banking channels**
Into the company's account, with a clear inward remittance purpose code. Obtain the **FIRC** and the KYC report.

5 **Price the issue correctly**
FEMA pricing guidelines require issue at or above fair value, determined by a **valuation report** from a SEBI-registered Merchant Banker or a Chartered Accountant using an internationally accepted methodology.

6 **Allot shares within 60 days**
Of receipt of the money, failing which it must be refunded within 15 days (Section 42 of the Companies Act for private placement, read with FEMA).

7 **File Form PAS-3**
With the ROC within 15 days of allotment (for private placement).

8 **File Form FC-GPR**
On the RBI FIRMS portal within **30 days** of allotment, with the valuation report, CS certificate, board resolution and FIRC/KYC.

9 **File the annual FLA return**
Foreign Liabilities and Assets return to the RBI by **15 July** every year, for every company that has received FDI or made ODI.

✕ **Late FC-GPR means compounding**
Delay in filing FC-GPR attracts a Late Submission Fee, and material FEMA contraventions require a **compounding application** to the RBI with a penalty. This is a routine finding in Series A due diligence on companies that raised an angel round without a CS. Budget for the CS; it is far cheaper than compounding.

The "flip" — why Indian startups move the holding company offshore

A "flip" is a reorganisation in which the Indian company becomes a wholly-owned subsidiary of a newly incorporated holding company in Delaware, Singapore or (less often) the Cayman Islands, with the Indian shareholders becoming shareholders of the offshore parent.

Why founders flip	Why it is getting less common
US and global investors are familiar with Delaware C-Corp documents and will not negotiate Indian SHA/SSA terms	Indian VC and growth capital has deepened substantially; Indian-structured rounds are now routine
Simpler option pool mechanics and employee stock administration for a global team	Indian ESOP regime and administration tooling have matured
Easier for a US acquirer to buy a Delaware entity	Indian listing (IPO) is now an attractive exit, and listing requires an Indian holding company
Access to US banking, Stripe, and enterprise procurement that prefers a US counterparty	Cross-border payment infrastructure for Indian entities has improved
Historically, more favourable capital gains and no Indian angel tax exposure at the holdco level	**Tax cost of flipping is now significant** — the share swap is a transfer, and Indian capital gains can be triggered on founders and investors

> ⚠ **Flipping is a tax and FEMA event, not a formality**
> A flip involves Indian residents transferring shares of an Indian company to a non-resident entity in exchange for shares of that entity. This engages FEMA (ODI and FDI regulations, and the restriction on round-tripping structures), the Income-tax Act's capital gains provisions, transfer pricing on the subsequent intercompany arrangements, and valuation requirements on both sides. The all-in professional cost of a properly executed flip runs into tens of lakhs. **Never flip without specialist cross-border counsel and a tax opinion.** Position as at FY 2025-26; the Overseas Investment Rules and Regulations, 2022 changed the treatment of round-tripping — verify the current position on **rbi.org.in**.

Reverse-flipping back to India

Several well-known Indian startups have moved their holding company back to India ahead of a domestic IPO, because listing on Indian exchanges requires an Indian holding company. The mechanisms are an inbound merger under Section 234 of the Companies Act 2013 read with the FEMA (Cross Border Merger) Regulations 2018 and NCLT approval, or a share swap, or a sale of the offshore entity's holding to a new Indian holdco. The process takes 12–24 months, needs NCLT approval, and can trigger substantial tax. If an Indian IPO is plausibly your exit, think very hard before flipping out in the first place.

Outbound: an Indian company holding a foreign subsidiary (ODI)

Concept	Position (verify current rules)
Governing framework	Foreign Exchange Management (Overseas Investment) Rules, 2022 and Regulations, 2022, plus the RBI Master Direction on Overseas Investment
ODI vs OPI	**Overseas Direct Investment** = investment in unlisted equity, or 10% or more of listed equity, or with control. **Overseas Portfolio Investment** = everything else. Different rules apply to each
Automatic route limit for a company	Financial commitment up to **400% of net worth** as per the last audited balance sheet, subject to conditions
Reporting	**Form FC** filed through the AD bank, obtaining a **UIN** for the overseas entity; **Annual Performance Report (APR)** by 31 December each year; **FLA return** by 15 July
Round-tripping	Permitted within limits under the 2022 rules subject to conditions on the number of layers — a significant change from the earlier prohibition. **Verify the current position before structuring**
Common use case for a tech company	A Delaware or Singapore subsidiary that contracts with US customers, employs US sales staff, and pays the Indian parent for development services under an intercompany agreement
Transfer pricing	Any intercompany services arrangement is an international transaction with an associated enterprise. **Form 3CEB** certified by a CA is required with the return, and the pricing must be at arm's length. This is a real annual cost of about ₹50,000–₹2,00,000

The common mistake

Engineers set up a US LLC or a Singapore Pte Ltd to "look international" to customers, fund it from their Indian salary savings, and never report anything. An Indian resident individual's investment abroad is governed by the **Liberalised Remittance Scheme** (LRS), with its own limits and a prohibition on certain structures, and the overseas entity must be disclosed in **Schedule FA of the income tax return**. Non-disclosure of foreign assets attracts penalty under the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015. Disclose it, every year, even if it is dormant.

Realistic Budget — Setup and Annual Running Cost

Founders consistently underestimate the **recurring** cost of a structure and overestimate the one-time cost. Incorporation is cheap; staying compliant is not. Below are line-item budgets for the three structures a technology founder will realistically choose between, at early-2026 market rates in a metro city.

> ⚠ **All figures indicative, FY 2025-26, metro professional rates**
> Professional fees vary enormously — a CA in a tier-3 city may charge a third of these numbers; a top-tier law firm will charge ten times. Government fees are as per the current schedules on mca.gov.in, ipindia.gov.in and the relevant state portals. Verify before budgeting.

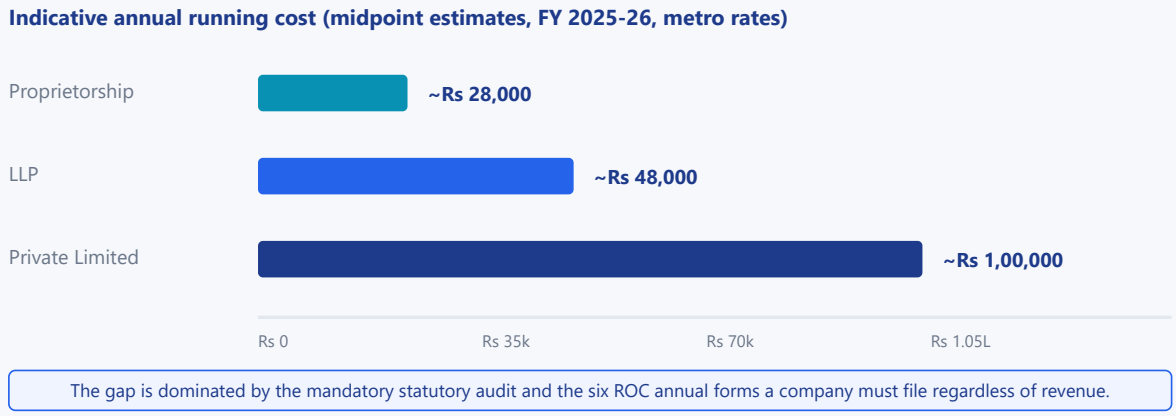
One-time setup cost

Line item	Proprietorship	LLP	Private Limited
Digital Signature Certificate (Class 3)	₹1,500 (1, for GST/ITR if needed)	₹3,000 (2 designated partners)	₹3,000 (2 directors)
Name reservation	—	₹200 (RUN-LLP)	₹1,000 (SPICe+ Part A)
Government incorporation fee	—	₹500–₹2,000 (by contribution)	₹0 (up to ₹15 lakh authorised capital)
Stamp duty	—	₹500–₹3,000 on the LLP Agreement	₹500–₹4,000 on MoA + AoA, by state and capital
PAN + TAN	Already held / ₹131	₹131	₹131
Professional fee (incorporation)	₹0–₹3,000	₹6,000–₹12,000	₹8,000–₹20,000
GST registration (professional fee)	₹1,000–₹3,000	₹1,000–₹3,000	₹1,000–₹3,000
Udyam registration	₹0	₹0	₹0
Shops & Establishment (where applicable)	₹200–₹2,000	₹200–₹2,000	₹200–₹2,000
Post-incorporation filings (INC-20A, ADT-1, Form 3)	—	₹500–₹2,500 (Form 3)	₹500 govt + ₹5,000 professional
Share certificates, registers, stamps	—	₹600 (stamps)	₹1,500–₹3,000
Trademark (TM-A, 1 class, startup/MSME rate)	₹4,500 + ₹3,000 professional	₹4,500 + ₹3,000	₹4,500 + ₹3,000
Bank current account minimum balance (blocked, not spent)	₹5,000–₹25,000	₹10,000–₹50,000	₹10,000–₹1,00,000
Accounting software (first year)	₹0–₹6,000	₹6,000–₹12,000	₹6,000–₹18,000

Professional indemnity / cyber insurance (optional)	₹8,000–₹25,000	₹10,000–₹30,000	₹10,000–₹40,000
Realistic cash out, excluding bank balance and insurance	**₹9,000–₹20,000**	**₹22,000–₹40,000**	**₹28,000–₹58,000**

Annual running cost

Line item	Proprietorship	LLP	Private Limited
Bookkeeping	₹6,000–₹24,000	₹12,000–₹36,000	₹18,000–₹60,000
GST returns (GSTR-1 + GSTR-3B, 12 months)	₹12,000–₹24,000	₹12,000–₹30,000	₹15,000–₹36,000
GSTR-9 / 9C annual return (where applicable)	₹0–₹8,000	₹5,000–₹15,000	₹8,000–₹25,000
Income tax return	₹3,000–₹10,000 (ITR-3/ITR-4)	₹6,000–₹15,000 (ITR-5)	₹8,000–₹20,000 (ITR-6)
Tax audit under Section 44AB (if applicable)	₹10,000–₹30,000	₹12,000–₹35,000	₹15,000–₹40,000
Statutory audit under Companies Act / LLP Act	Not applicable	₹0 (below thresholds) or ₹15,000–₹35,000	**₹20,000–₹60,000, always**
ROC annual filings	—	₹5,000–₹12,000 (Form 8 + Form 11)	₹12,000–₹30,000 (AOC-4, MGT-7, ADT-1, DIR-3 KYC, DPT-3, MSME-1)
TDS returns (24Q/26Q, 4 quarters) where applicable	₹0–₹8,000	₹6,000–₹15,000	₹8,000–₹20,000
Payroll processing and Form 16	₹0	₹0–₹12,000	₹6,000–₹30,000
Professional Tax (where applicable)	₹2,500	₹2,500 + ₹2,500 per partner	₹2,500 per director + employee deductions
Accounting software subscription	₹0–₹6,000	₹6,000–₹12,000	₹6,000–₹24,000
Company Secretary retainer (optional for Pvt Ltd below thresholds)	—	—	₹0–₹60,000
Realistic total	**₹12,000–₹45,000**	**₹25,000–₹70,000**	**₹55,000–₹1,50,000**



Setup cost differences are small. Recurring compliance cost differences are not. Budget for year two, not just day one.

Hidden costs founders forget

- ☐ **Blocked bank balance** — ₹25,000 to ₹1,00,000 of working capital you cannot touch
- ☐ **Payment gateway charges** — 2% + GST on domestic card payments, 3–4.5% on international; this is often your largest "compliance-adjacent" cost
- ☐ **Forex conversion spread** — banks charge 1–3% above the interbank rate on inward remittances; negotiate this explicitly, it is worth lakhs on a ₹1 crore export business
- ☐ **Transfer pricing study and Form 3CEB** — ₹50,000 to ₹2,00,000 a year if you have any overseas group entity
- ☐ **Valuation reports** — ₹25,000 to ₹1,50,000 per round for FEMA and Rule 11UA purposes
- ☐ **Late-fee leakage** — ₹100 per day per ROC form, ₹50 per day per GST return, with no cap on ROC additional fees
- ☐ **Director's remuneration tax** — paying yourself a salary triggers TDS under Section 192, professional tax, and the payroll compliance stack
- ☐ **Director and Officer insurance** — increasingly demanded by institutional investors
- ☐ **Trademark oppositions and renewals** — a TM is valid for 10 years then needs renewal; oppositions cost ₹30,000–₹1,50,000 to defend
- ☐ **Closure cost** — striking off a company costs ₹10,000–₹25,000 and requires all pending filings to be completed first

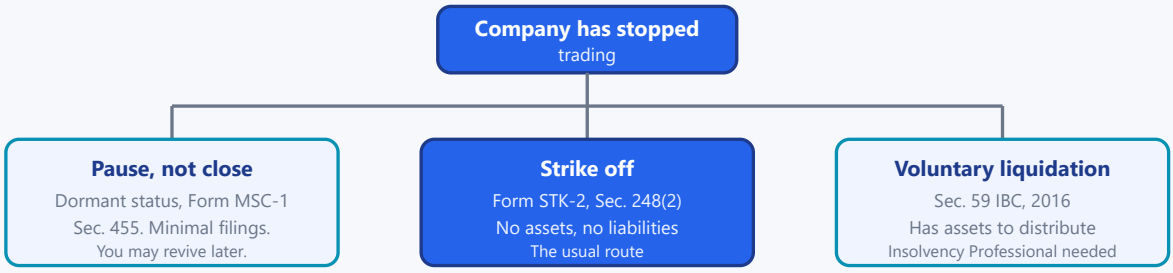
Closing a Business

Businesses stop. Companies do not. A Private Limited Company that stops trading continues to accrue filing obligations, continues to accrue ₹100-per-day additional fees, and eventually disqualifies its directors under Section 164(2) — which bars them from being a director of **any** company for five years. Closing properly is cheaper than abandoning.

"Just stop filing" is the most expensive option

If a company fails to file financial statements or annual returns for **three continuous financial years**, every person who is or was a director of that company during that period is disqualified under Section 164(2)(a) for **five years**, and their DIN is deactivated. They cannot be appointed as a director of any other company, including the new one they are about to start. Thousands of Indian directors discovered this when the MCA published disqualification lists. There is no cheap fix; restoration requires an NCLT application or a scheme, and payment of all pending fees.

Options for closing a company



Prerequisite for ALL three routes

All overdue ROC filings completed · GST registration surrendered · Bank accounts closed
All liabilities settled · Final income tax return filed · Employee dues paid

You cannot close out of a backlog. Bring filings current first, then choose a route.

Strike-off under Section 248(2) — Form STK-2

Attribute	Detail
Statute	Section 248(2), Companies Act 2013; Companies (Removal of Names of Companies from the Register of Companies) Rules, 2016
Who can use it	A company that has **not commenced business within one year** of incorporation, or has **not carried on any business for two immediately preceding financial years** and has not applied for dormant status
Prerequisite	Special resolution or consent of 75% of members by paid-up capital; all overdue AOC-4 and MGT-7 filed up to the year of cessation; nil assets and nil liabilities; bank accounts closed
Form	**STK-2**, certified by a CA/CS/CMA in practice
Fee	₹10,000 (indicative — verify on mca.gov.in)
Attachments	Indemnity bond in **Form STK-3** from every director; **Statement of Accounts in Form STK-8** certified by a CA, not older than 30 days from the date of application; affidavit in **Form STK-4** from every director; certified true copy of the special resolution; statement regarding pending litigations; bank account closure certificate; PAN surrender application where applicable
Process	ROC publishes a notice in **Form STK-6** in the Official Gazette and on the MCA website inviting objections, typically for 30 days, then issues **Form STK-7** striking off the name
Timeline	3–8 months end to end
Cannot be used if	There are pending charges, pending prosecutions, pending compounding applications, an ongoing inspection or investigation, outstanding public deposits, or the company is a Section 8 company
Effect on directors' liability	Strike-off does **not** extinguish the liability of directors and officers, which continues and may be enforced as if the company had not been dissolved (Section 248(7))

Voluntary liquidation under Section 59 of the IBC, 2016

- ☐ Used where the company **has assets to realise and distribute** and is solvent

- [ ] Requires a declaration of solvency by a majority of directors, verified by affidavit, with audited financials and a valuation of assets
- [ ] Special resolution of members within four weeks of the declaration, appointing an **Insolvency Professional** as liquidator
- [ ] Public announcement, claims process, realisation of assets, distribution to stakeholders
- [ ] Application to the NCLT for dissolution once affairs are wound up
- [ ] Cost: ₹2,00,000 to ₹10,00,000+ including the IP's fee. Timeline 9–18 months
- [ ] Used for funded startups returning capital to investors, not for a dormant two-person company

Closing an LLP — Form 24

Step	Detail
Eligibility	LLP has **not commenced business**, or has **ceased to carry on commercial activity for one year or more**
Prerequisites	Close all bank accounts; file all overdue Form 8 and Form 11 up to the year of cessation; obtain consent of all partners and all creditors; surrender GST registration; file the latest income tax return
Form	**Form 24** — Application for striking off name, under Rule 37 of the LLP Rules 2009
Attachments	Statement of Account showing nil assets and nil liabilities, certified by a CA, not older than 30 days; affidavit by designated partners; indemnity bond; copy of the latest ITR acknowledgement; consent of partners; copy of the authorising resolution; detailed application explaining the reason for closure
Fee	₹500 (indicative)
Timeline	3–6 months

Dormant status — Form MSC-1

✓ **The option most founders do not know about**

Section 455 of the Companies Act 2013 lets a company that is formed for a future project, or to hold an asset or intellectual property, and that has **no significant accounting transaction**, apply to the Registrar in **Form MSC-1** to be classified as **dormant**. A dormant company files a much lighter annual return in **Form MSC-3** and need hold only **two board meetings** a year with a gap of at least 90 days. It remains on the register and can be reactivated with **Form MSC-4** when the project starts. If you have a company you might come back to — a brand, a trademark, a patent, a domain — dormancy is far better than letting it accrue penalties or striking it off.

Attribute	Detail
Application form	MSC-1, after a special resolution of members or after issuing notice and obtaining consent of 3/4ths in value of creditors
Annual return	MSC-3, within 30 days of the end of the financial year, certified by a CA in practice
Minimum directors	Must still maintain the statutory minimum (2 for a private company)
Board meetings	At least 2 per financial year, with a minimum gap of 90 days
Auditor	Still required; rotation provisions do not apply to a dormant company
Maximum duration	If a company remains dormant for 5 consecutive years, the Registrar may strike off its name
Reactivation	Form MSC-4 with a return of dormant company in MSC-3

Closing a proprietorship or partnership

1. **Settle all liabilities**
   Vendors, employees, statutory dues. A proprietor's liability is personal and does not disappear.
2. **Surrender GST registration**
   File **Form GST REG-16** for cancellation, then file the **final return in GSTR-10**

within three months of the cancellation order or the date of cancellation, whichever is later. Late GSTR-10 attracts a late fee. Reverse ITC on closing stock and capital goods as required by Section 29(5).

3 **Close the Shops & Establishment registration**
Intimate the state labour department.

4 **Deregister Professional Tax**
And pay any arrears.

5 **File the final income tax return**
For the year of cessation, declaring any gains on sale of business assets.

6 **Close the current account**
After the final return is filed, so that any refund can be credited.

7 **For a partnership**
Execute a
dissolution deed
, settle accounts between partners under Sections 46–55 of the Indian Partnership Act 1932, and intimate the Registrar of Firms where the firm is registered.

8 **Retain records**
Books and records must be retained — commonly 6 years from the end of the relevant assessment year under the Income-tax Act and 72 months under GST rules. Do not shred.

Common Mistakes That Cost Founders Real Money

Every item below has been observed repeatedly. Each entry gives the mistake, the consequence in money or risk, and the fix. Read this list before you incorporate, and again at the end of your first financial year.

#	Mistake	Consequence	Fix
1	**Missing INC-20A** — not filing the commencement declaration within 180 days	₹50,000 penalty on the company, ₹1,000/day on each officer up to ₹1,00,000, and possible strike-off under Section 248(1)(d)	Diarise it on incorporation day. File it the week the subscription money lands
2	**Subscription money paid in cash or by one founder for all**	INC-20A cannot be supported; auditors qualify the accounts; investor diligence flags it	Each subscriber transfers their exact amount from their own account
3	**No founders' agreement and no vesting**	A founder who leaves in month 6 keeps their full stake forever and dilutes everyone else through every round	Written agreement with 4-year vesting, 1-year cliff, before incorporation
4	**No IP assignment from founders and contractors**	The company does not own its own code. Under the Copyright Act 1957, an independent contractor owns their work absent written assignment. Deal-breaking in diligence and in an acquisition	Signed IP assignment deed from every founder, employee and contractor, covering past and future work
5	**Missing the GST 30-day registration window**	Tax payable from the date of liability with interest at 18% p.a., plus penalty, and input tax credit lost for the gap period	Track rolling aggregate turnover monthly. Register in the month you cross
6	**Exporting services without an LUT**	You must pay IGST on exports and then claim a refund — blocking working capital for months	File **Form RFD-11** (LUT) at the start of **every** financial year. It does not auto-renew

7	**Not deducting TDS on contractor and professional payments**	**30% of the expense disallowed** under Section 40(a)(ia), plus interest under 201(1A), plus penalty under 271C. A ₹20 lakh developer payment becomes ₹6 lakh of disallowed expense	Deduct under Section 194C/194J at payment or credit, whichever is earlier; deposit by the 7th of the following month
8	**Skipping DIR-3 KYC**	DIN deactivated; the director cannot sign any MCA form; reactivation fee ₹5,000 per DIN	File by 30 September every year, even if nothing changed. DIR-3 KYC Web works if no details changed
9	**Mixing personal and business money**	Director's loan account chaos, Section 2(22)(e) deemed dividend exposure, qualified audit, impossible bookkeeping	Separate accounts from day one. Pay yourself a salary or declared dividend, never ad-hoc transfers
10	**Share certificates never issued or never stamped**	Diligence finding; penalty under Section 56(6); rectification under time pressure during a round	Issue in Form SH-1 within 2 months of incorporation and stamp them
11	**No board minutes for 18 months**	Non-compliance with Section 173 and 118; no evidence that any decision was authorised; auditor qualification; penalty	Four board meetings a year (two for a small company), minuted, signed, bound
12	**Registered office changed without filing INC-22**	ROC notices go to the old address and are deemed served; you learn about a penalty after it has compounded	File INC-22 within 30 days of any change
13	**Taking foreign investment without FC-GPR**	FEMA contravention requiring compounding with the RBI; penalty; blocks the next round	File FC-GPR on the FIRMS portal within 30 days of allotment, with a valuation report

14	**Issuing shares below fair market value, or taking premium without a valuation**	Section 56(2)(x) in the recipient's hands or Section 56(2)(viib) in the company's hands; FEMA pricing breach for non-resident investors	Get a Rule 11UA valuation report before every issue of shares
15	**Treating employees as "consultants" to avoid PF and TDS**	Reclassification on inspection; retrospective PF liability with damages and interest under Section 14B of the EPF Act; TDS short-deduction demand	If they work fixed hours, use your equipment, take direction and have no other clients, they are employees. Structure honestly
16	**Letting a dormant company accrue defaults**	Director disqualification under Section 164(2) for 5 years, across all companies	Apply for dormant status in Form MSC-1, or strike off in Form STK-2. Do not simply stop
17	**Using a virtual office without checking the GST position**	GST registration rejected or later suspended under Rule 21; invoices become un-issuable mid-engagement	Use an operator that provides a dedicated, inspectable space and cooperates with field verification
18	**Choosing authorised capital of ₹1,00,000 "to save money"**	Every subsequent issue needs an increase: shareholders' resolution, Form SH-7, fee and stamp duty — often while a term sheet is live	₹10,00,000 authorised capital costs almost nothing extra at incorporation and avoids the problem
19	**No written contract with the first big customer**	Scope disputes, payment disputes, IP ownership disputes, and no limitation of liability	A two-page MSA plus an SOW beats a 40-page template you never send. Always cap liability
20	**Not claiming input tax credit within the time limit**	ITC lapses permanently under Section 16(4). On a ₹50 lakh expense base this can be ₹9 lakh of real cash	Reconcile GSTR-2B monthly; chase vendors who have not filed their GSTR-1
21	**Paying a trademark "agent" ₹15,000 for**	Objection under Section 11, or opposition, and the fee is	Search ipindia yourself first in the relevant

	an unsearched filing	gone	classes; file only a mark that survives the search
22	**Choosing the Section 115BAA regime without modelling it**	The election under 115BAA is **irrevocable**; you forgo MAT credit, additional depreciation and several deductions	Model both regimes with your CA before the first return in which you opt

Frequently Asked Questions

Specific answers to the questions engineers actually ask when setting up in India. Every answer is stated as at FY 2025-26 and should be confirmed against the official source named.

> **I am employed full-time and want to take on freelance consulting on the side. Do I need to register a business?**
>
> Legally, no. You can invoice as an individual and declare the income as business or professional income in ITR-3 or ITR-4. Two things matter more than registration. First, your **employment contract** — most Indian IT employment agreements contain an exclusivity clause and an IP assignment clause broad enough to capture anything you build on your own time, including with your own equipment. Breaching it is a contractual matter, not a criminal one, but it can cost you your job and your ESOPs. Read Clause "Exclusivity of Service" and "Ownership of Work Product" in your offer letter. Second, **GST** — you must register within 30 days of crossing ₹20 lakh (₹2,000,000) of aggregate turnover for services, and that aggregate includes all your business receipts under the same PAN. Your salary is not part of aggregate turnover. Keep a separate bank account for consulting receipts from the first rupee, because untangling it at year end is painful.

> **Should I register a Private Limited Company before I have any revenue?**
>
> Only if you are raising money, issuing ESOPs, or carrying real liability. Otherwise it costs ₹45,000–₹1,20,000 a year in audit and filings to administer zero revenue, and it starts statutory clocks — INC-20A within 180 days, first board meeting within 30 days, auditor within 30 days, annual filings from the first financial year end — that you will miss while you are busy building. If you are pre-revenue and pre-funding, consider incorporating when you have a term sheet or a signed customer, not when you have an idea. The one genuine exception: if you need an entity to sign a pilot contract with an enterprise buyer whose procurement will not onboard an individual, incorporate.

> **LLP or Private Limited for a two-person consulting firm with no fundraising plans?**
>
> LLP, in most cases. You get limited liability and perpetual succession, you avoid the mandatory statutory audit until turnover exceeds ₹40 lakh (₹4,000,000) or contribution exceeds ₹25 lakh

(₹2,500,000), you file two annual forms instead of six, and — the underrated part — profit share distributed to partners is **exempt** in the partners' hands under Section 10(2A) of the Income-tax Act, whereas a company's dividends are taxed again at your slab rate. For an owner-operated services business that distributes most of its profit, the LLP is frequently the lower-tax structure. The two reasons to choose Pvt Ltd anyway: you want to issue ESOPs to your first hires, or you are not being honest with yourself about "no fundraising plans". Verify the current position with your CA, especially against the Income-tax Act, 2025.

How much does it realistically cost to incorporate a Private Limited Company in India?

Government and statutory cost is small: ₹1,000 name reservation, zero MCA incorporation fee up to ₹15 lakh authorised capital, ₹500–₹4,000 stamp duty depending on state and capital, ₹131 for PAN and TAN. Add ₹3,000 for two Class 3 DSCs. Professional fees are the bulk — ₹8,000 to ₹20,000 for end-to-end incorporation at metro rates. Post-incorporation you will spend another ₹5,000–₹8,000 on INC-20A, ADT-1, share certificates and registers. So roughly **₹25,000–₹40,000 of cash out**, plus a blocked bank minimum balance of ₹10,000–₹1,00,000. The number that matters more is the **₹55,000–₹1,50,000 a year** it costs to keep compliant. Verify current fees on **mca.gov.in**.

Can I use my home address as the registered office?

Yes. You need a utility bill in the owner's name not older than two months, plus a no-objection certificate from the owner permitting use as the registered office. If you own the flat, you give the NOC to yourself. Three practical cautions. First, the address becomes **public** on the MCA master data and on every invoice and letterhead under Section 12(3). Second, many housing society bye-laws and some state apartment acts prohibit commercial use of a residential unit, and a Shops & Establishment registration may be refused on that basis. Third, GST field verification under Rule 25 will visit, and the officer expects to see a name board and a workspace. A home office with a nameplate and a desk passes; a bedroom does not always. If you move house, file Form INC-22 within 30 days.

Do I need GST registration if all my clients are outside India?

Export of services is a **zero-rated supply** under Section 16 of the IGST Act, not an exempt one — which is a different thing. Strictly, if your aggregate turnover exceeds ₹20 lakh (₹2,000,000) you are liable to register under Section 22, and exports count towards aggregate turnover. In practice almost every services exporter registers voluntarily even below the threshold, for three reasons: your AD bank's documentation for FIRC and e-BRC is cleaner with a GSTIN; you can file an **LUT in Form RFD-11** and export without paying IGST; and you can claim refund of accumulated input tax credit on your domestic expenses (cloud bills, rent, professional fees), which is real cash. The cost is twelve GSTR-1 and twelve GSTR-3B filings a year. Confirm the current threshold and the definition of export of services under Section 2(6) of the IGST Act on **gst.gov.in**.

What is an LUT and why does everyone say I must file it every year?

A Letter of Undertaking filed in **Form RFD-11** on the GST portal is a bond by which you undertake to export without payment of IGST. Without it, you must pay IGST on every export invoice and then claim a refund — which blocks working capital for weeks or months. The LUT is valid for **one financial**

year only and does **not** auto-renew. It must be filed fresh at the start of each financial year, ideally in the first week of April. The filing is free, takes ten minutes on gst.gov.in, and requires two witnesses' details. Forgetting it in April is one of the most common and most expensive cash-flow mistakes a services exporter makes. Verify the current form and conditions on **gst.gov.in**.

What exactly do I get from Udyam/MSME registration, and does it cost anything?

It is completely free on **udyamregistration.gov.in** and takes about ten minutes with Aadhaar and PAN. The most valuable benefit for a small vendor is **Section 43B(h)** of the Income-tax Act: a buyer can deduct a payment due to a registered micro or small enterprise only in the year it is actually paid, unless paid within 45 days (or 15 days absent a written agreement) under Section 15 of the MSMED Act 2006. Large customers' finance teams now actively prioritise MSME vendor payments to protect their own deduction. Beyond that: **MSME Samadhaan** for free online recovery of delayed payments with compound interest at three times the RBI bank rate; **CGTMSE** collateral-free credit guarantee; preference and EMD exemption in government procurement; reduced trademark and patent fees. Put your Udyam number on every invoice. Any site charging for Udyam is a private intermediary.

Is DPIIT Startup India recognition worth applying for if I will not get the tax holiday?

Yes. Recognition itself is free, usually quick, and gives you self-certification under a list of labour and environment laws, an 80% rebate on patent filing fees and 50% on trademark fees, access to a government-paid IPR facilitator panel, expedited patent examination, exemption from prior-turnover and prior-experience criteria in central government tenders, EMD exemption, free GeM Startup Runway listing, and fast-track insolvency. For a company filing one trademark and one patent, the fee rebates alone can exceed ₹50,000. The **Section 80-IAC** three-year tax holiday is a separate application to the Inter-Ministerial Board with a much lower approval rate, and it only helps if you are profitable. Treat it as upside. Verify current benefits on **startupindia.gov.in**.

My co-founder and I want a clean 50:50 split. Is that a problem?

It is the single most dangerous cap table structure in Indian private companies, because there is no tie-breaker. With 50:50 shareholding and two directors, any disagreement on a matter requiring a board or shareholder resolution — appointing an auditor, approving accounts, issuing shares, borrowing, firing an employee the other hired — simply cannot be resolved. The company freezes, and the only legal route is an oppression-and-mismanagement petition to the NCLT under Sections 241–242, which takes years and destroys the business in the process. Fix it one of three ways: an uneven split such as 51:49; a 48:48:4 structure with the 4% held by a trusted neutral; or a binding deadlock clause in the Articles and the Shareholders' Agreement providing for a casting vote, mediation, or a buy-sell ("shotgun") mechanism. Decide before incorporation.

Do I need a Company Secretary on retainer?

A full-time Company Secretary is mandatory only for companies above the paid-up capital threshold prescribed under Section 203 and Rule 8A of the Companies (Appointment and Remuneration of Managerial Personnel) Rules — well above where a startup sits. But you need a **practising CS** for discrete work that only they can certify: incorporation forms, FC-GPR, PAS-3, share transfers, ESOP

scheme documentation, increase of authorised capital, and strike-off. Most early-stage companies use a CS on a per-transaction basis or on a small annual retainer of ₹24,000–₹60,000 covering routine ROC filings and minutes. If you are taking foreign investment, put a CS on retainer before the round, not after — FC-GPR errors are expensive to compound.

Can a foreign national or NRI be a director or shareholder of my Indian company?

Shareholding by a non-resident is permitted in most sectors under the automatic FDI route, subject to reporting in Form FC-GPR on the RBI FIRMS portal within 30 days of allotment, a valuation report, and the Press Note 3 land-border check on beneficial ownership. Directorship is also permitted — a foreign national can hold a DIN and be a director. The binding constraint is Section 149(3): at least one director must have stayed in India for at least 182 days in the financial year. So you can have an all-foreign board **plus** one resident director, but not an all-foreign board. Practically, foreign directors also need an apostilled passport and address proof for the DSC and for SPICe+, which adds 2 to 4 weeks. Verify on **mca.gov.in** and **dpiit.gov.in**.

I registered a company two years ago, never traded, and never filed anything. What happens now?

You are accruing additional fees at ₹100 per day per unfiled form with **no upper cap** on the ROC additional fee, and you are one financial year away from director disqualification. Section 164(2)(a) disqualifies every director of a company that has not filed financial statements or annual returns for **three continuous financial years**, for five years, across **all** companies — including the new one you want to start. Act now: engage a CS, compute the total pending fee, file all overdue AOC-4 and MGT-7, file the pending income tax returns, surrender the GST registration if any, close the bank account, and then either apply for dormant status in **Form MSC-1** if you may revive it, or strike it off in **Form STK-2**. The cost of regularising is typically ₹25,000–₹80,000. The cost of ignoring it is five years of not being a director anywhere.

Should I set up a US or Singapore holding company to make fundraising easier?

Rarely, and never casually. A "flip" is a reorganisation in which Indian shareholders transfer shares of the Indian company to a new offshore parent in exchange for its shares. That transfer is a taxable event in India for the transferors, engages FEMA's overseas investment and round-tripping rules, requires valuations on both sides, and creates transfer-pricing obligations on the subsequent intercompany services agreement including an annual Form 3CEB. The all-in professional cost runs to tens of lakhs. The historical reasons to flip — investor familiarity with Delaware documents, easier option pools, US acquirer preference — have weakened considerably as Indian VC and growth capital have deepened. If an Indian IPO is plausibly your exit, flipping out means a costly reverse-flip later via an NCLT-approved inbound merger. Do it only with specialist cross-border counsel and a written tax opinion, and verify the current Overseas Investment Rules on **rbi.org.in**.

What is the one thing most likely to go wrong in my first year?

Three things compete, and all are administrative rather than commercial. **One:** missing Form INC-20A within 180 days, which carries a ₹50,000 company penalty, ₹1,000 per day per officer, and possible

> strike-off. **Two:** not deducting TDS on payments to contractors and freelancers, which disallows 30% of that expense under Section 40(a)(ia) and adds interest and penalty — on a ₹25 lakh outsourced development spend this is a six-figure hit. **Three:** losing input tax credit because you did not reconcile GSTR-2B monthly and the Section 16(4) time limit expired. None of these are hard to avoid; all of them are missed because a founder decided compliance could wait until the product shipped. Set up a compliance calendar in week one and give one founder explicit ownership of it.

Week-by-Week Incorporation Checklist

A twelve-week plan from first conversation to a fully operational, compliant entity. Weeks are indicative; run steps in parallel where you can. This assumes a two-founder Private Limited Company in a metro city with both founders resident in India.

1. **Week 0 — Decide whether to incorporate at all**
   Confirm you have a customer, a term sheet, a liability exposure, or a hiring need that requires an entity. If you have none of the four, defer and operate as a proprietorship. Read the entity comparison table and write down, in one sentence, why you are choosing the structure you are choosing.

2. **Week 1 — Founders' agreement**
   Run the ten-question conversation. Agree the equity split, the vesting schedule and cliff, the full-time commitment date, the leaver provisions and the deadlock mechanism. Have a lawyer draft or review it. Execute it on correctly valued e-stamp paper. Do not skip this to "save time".

3. **Week 1 — Name and trademark search**
   Generate five candidate names. Check .com and .in availability. Search ipindia.gov.in public search in Classes 9, 35 and 42, including phonetic variants. Search MCA company and LLP name databases. Shortlist two that survive everything.

4. **Week 2 — Collect documents**
   Each founder: PAN, Aadhaar, passport-size photograph, proof of present address, mobile number linked to Aadhaar, personal email. Registered office: latest utility bill not older than two months, owner's NOC, rent agreement if rented. Scan everything at high resolution into a shared folder.

5. **Week 2 — Apply for Class 3 DSCs**
   One per founder. Complete Aadhaar eKYC and video verification carefully — good light, quiet room, PAN legible, read the code slowly. Receive the USB token, install drivers, download the certificate, and record the token PIN somewhere safe.

6. **Week 3 — Engage a CA or CS and file SPICe+ Part A**

Agree a fixed fee covering incorporation, INC-20A, ADT-1, share certificates and registers. File Part A with two names and the correct NIC code. Simultaneously file the trademark application in Form TM-A.

7

Week 3–4 — Draft the MoA object clause and the AoA

Draft a main object clause that covers software development, IT services and platform operation, with a negative covenant excluding banking, insurance, NBFC and chit-fund activity. Review the AoA for share transfer restrictions, board composition and any deadlock mechanism you agreed in week 1.

8

Week 4 — File SPICe+ Part B with INC-33, INC-34 and INC-35

Set authorised capital at ₹10,00,000 and paid-up at ₹1,00,000. Attach the address proof, NOC, DIR-2 consents and ID proofs. In AGILE-PRO-S, take EPFO, ESIC and professional tax; **skip GST** and register separately later. Pay the stamp duty and fees. Register the DSCs on MCA before uploading.

9

Week 5 — Receive the Certificate of Incorporation

Verify the CIN, the spelling of the company name, the registered office address and the names of directors on the certificate. Download the e-PAN and the TAN allotment letter. Save all three to the shared folder and to a second backup.

10

Week 5–6 — Open the current account and deposit subscription money

Pass a board resolution naming the bank, branch, signatories and operating mandate. Complete branch KYC. Once the account is live, **each founder transfers their exact subscription amount from their own personal account** . Download the statement showing both credits.

11

Week 6 — Hold the first board meeting

Within 30 days of incorporation. Give seven days' notice or obtain consent to shorter notice. Cover: noting the CoI, PAN and TAN; taking MBP-1 and DIR-8 from each director; appointing the first statutory auditor under Section 139(6); approving the bank account and mandate; authorising share certificates; adopting letterhead and name board; fixing the financial year; authorising GST, Udyam and other registrations. Minute it properly and sign it.

12

Week 6 — File ADT-1 and obtain the auditor's consent

Obtain written consent and the eligibility certificate under Section 139(1) read with Rule 4 from the auditor before appointment. File ADT-1 within 15 days of the board meeting.

13

Week 7 — File INC-20A

Attach the bank statement evidencing receipt of the full subscription money from each subscriber. Have it certified by your CA or CS.

Do not let this slip past 180 days under any circumstances.

14 **Week 7 — Issue share certificates and open statutory registers**

Issue in Form SH-1 within two months of incorporation, signed by two directors. Pay share-issue stamp duty per your state's requirement. Open the Register of Members in MGT-1, the Register of Directors, the Register of Charges, MBP-4 and the SBO register. Buy a bound minute book.

15 **Week 7 — Udyam registration**

Ten minutes on udyamregistration.gov.in with the authorised signatory's Aadhaar and the company PAN. Free. Put the Udyam number on the invoice template immediately.

16 **Week 8 — GST registration**

File REG-01 on gst.gov.in with the CoI, PAN, board resolution authorising the signatory, bank proof, address proof and photographs of the premises. Complete Aadhaar authentication to reduce the chance of physical verification. Expect 3 to 15 days.

17 **Week 8 — File the LUT in Form RFD-11**

Immediately after the GSTIN is issued, if you export services. Repeat at the start of every financial year.

18 **Week 9 — Shops & Establishment and Professional Tax**

Register on the state labour portal and the state commercial tax portal. Required once you have premises or employees, and useful as business proof regardless.

19 **Week 9 — Set up accounting and the compliance calendar**

Choose accounting software (Zoho Books, Tally, QuickBooks). Set the chart of accounts. Create a shared calendar with every recurring deadline: GSTR-1 and GSTR-3B monthly, TDS deposit by the 7th, TDS returns quarterly, advance tax quarterly, DIR-3 KYC by 30 September, AOC-4 and MGT-7 after the AGM, LUT in April.

20 **Week 10 — Contracts and IP**

Execute an IP assignment deed from every founder covering all pre-incorporation and ongoing work product. Prepare a standard MSA and SOW template with a liability cap, an IP clause and a payment term of 30 days. Prepare an employment agreement template and a contractor agreement template with IP assignment and confidentiality.

21 **Week 11 — Apply for DPIIT recognition**

On startupindia.gov.in. Free. Write the four innovation answers with specific numbers and evidence. Attach the CoI, a pitch deck and any IP filings.

22 **Week 12 — Operational readiness review**

Verify: letterhead and invoice template carry name, registered office, CIN, phone, email and website per Section 12(3); name board is up; website landing page carries the same particulars;

bank mandate works; payment gateway onboarded; insurance in place if needed; all documents backed up in two locations; one founder explicitly owns the compliance calendar.

Documents to collect — master checklist

FROM EACH FOUNDER / DIRECTOR / SUBSCRIBER

- ☐ PAN card — scanned, legible, name noted exactly as printed
- ☐ Aadhaar card, with the linked mobile number confirmed working
- ☐ Passport — mandatory for foreign nationals, apostilled or consularised
- ☐ Voter ID or Driving Licence as an alternative identity proof
- ☐ Proof of present address not older than two months: bank statement, electricity bill, telephone bill or mobile bill in the person's own name
- ☐ Passport-size photograph, recent, plain background
- ☐ Personal email address controlled solely by that person
- ☐ Educational qualification and occupation details for the SPICe+ form
- ☐ Father's name, date of birth and place of birth, exactly as per PAN records
- ☐ DIN or DPIN if already held, and the DIR-3 KYC status
- ☐ Signed DIR-2 consent to act as director
- ☐ Signed MBP-1 disclosure of interest and DIR-8 non-disqualification declaration

FOR THE REGISTERED OFFICE

- ☐ Latest utility bill — electricity, telephone, gas or water — not older than two months, in the owner's name
- ☐ No-objection certificate from the owner, naming the company and permitting use as registered office
- ☐ Registered rent agreement or lease deed, if the premises are rented
- ☐ Sale deed or property tax receipt, if owned

- [ ] Photographs of the premises, interior and exterior with the name board — needed for GST registration
- [ ] Nearest police station name, for the SPICe+ form

AGREEMENTS TO HAVE EXECUTED

- [ ] Founders' / co-founders' agreement, stamped and signed
- [ ] Intellectual property assignment deed from each founder, covering pre-incorporation work
- [ ] Employment agreement template with confidentiality, IP assignment and notice period
- [ ] Contractor / consultant agreement template with IP assignment and no employment relationship
- [ ] Non-disclosure agreement template, mutual and one-way versions
- [ ] Master services agreement and statement of work template, with a liability cap
- [ ] Shareholders' agreement, once there are external shareholders
- [ ] LLP agreement, if an LLP, filed in Form 3 within 30 days

POST-INCORPORATION DOCUMENTS TO GENERATE AND STORE

- [ ] Certificate of Incorporation (Form INC-11) with CIN
- [ ] Memorandum and Articles of Association as filed
- [ ] Company PAN card and TAN allotment letter
- [ ] Bank account details, IFSC, and the board resolution authorising it
- [ ] Bank statement evidencing subscription money from each subscriber
- [ ] Form INC-20A acknowledgement
- [ ] First board meeting minutes, signed and bound
- [ ] Auditor's consent letter, eligibility certificate and ADT-1 acknowledgement
- [ ] Share certificates in Form SH-1, stamped, with counterfoils
- [ ] Statutory registers: MGT-1, Register of Directors, Register of Charges, MBP-4, SBO register

- [ ] GST registration certificate (Form REG-06) and GSTIN
- [ ] LUT acknowledgement in Form RFD-11, filed for the current financial year
- [ ] Udyam Registration Certificate
- [ ] DPIIT recognition certificate, if obtained
- [ ] Shops & Establishment registration certificate
- [ ] Professional Tax enrolment and registration certificates
- [ ] Trademark application acknowledgement and, later, the registration certificate
- [ ] EPFO and ESIC establishment codes issued through AGILE-PRO-S

✦ **Store it twice, share it with both founders**

Keep a single structured folder — `01-incorporation`, `02-statutory-registers`, `03-tax`, `04-contracts`, `05-banking` — in a cloud drive both founders can access, plus an encrypted local backup. Every due-diligence process and every CA handover will ask for exactly these documents, and the founder who can produce them in an hour saves weeks.

✕ **Final reminder**

Everything in this guide is stated as at **FY 2025-26 / early 2026** and is educational material, not legal, tax or financial advice. The Income-tax Act, 2025 takes effect from 1 April 2026 and renumbers and restructures the provisions referenced here. GST rates changed materially in September 2025. The four Labour Codes are being brought into force with state rules still being notified. The DPDP Rules carry phased deadlines. Before you act on anything above, confirm the current position on **mca.gov.in**, **incometax.gov.in**, **gst.gov.in**, **udyamregistration.gov.in**, **startupindia.gov.in**, **dpiit.gov.in**, **epfindia.gov.in** and **esic.gov.in**, and engage a qualified CA, CS or advocate for your specific facts.